# Insurance Act, 2079

# बीमा ऐन, २०७९

Up to Latest Amendments

By CA Govinda Tamang

# INSURANCE ACT, 2079 (2022)

(Incorporating amendments through end of Shrawan, 2082)




**Act No.**
27
of the Year 2079

**Date of Authentication**
2079/06/23

**Nature of Act**
Amend and Consolidate the law relating to Insurance

**Incorporates amendments through end of**
Shrawan, 2082

## PREAMBLE

Whereas, it is expedient to amend and consolidate the prevailing laws relating to insurance and make them timely, in order to develop the insurance system and insurance business in an organized, regulated, and competitive manner, to make it reliable, to provide the general public with quality and dependable insurance service through healthy competition in the insurance business, and to effectively regulate the insurance business so as to protect the rights and interests of the insured;

**Now, therefore, the Federal Parliament has enacted this Act.**

## AMENDMENT HISTORY

**Original Act**

**Insurance Act, 2079 (2022)**
Act No. 27 of the Year 2079
Date of Authentication: 2079/06/23

**First Amendment**

**Act Amending Some Nepal Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080**
2080/12/30

**Second Amendment**

**Act Amending Some Nepal Acts, 2082**
2082/04/14

## OBJECTIVE OF THE ACT

- Develop the insurance system and business in an organized, regulated, and competitive manner
- Provide the general public with quality and dependable insurance service
- Ensure healthy competition in the insurance business
- Effectively regulate the insurance business to protect the rights and interests of the insured

# Chapter 1
# Preliminary

Section 1 : Short Title and Commencement
Section 2 : Definition

# SECTION 2 DEFINITIONS
## (IMPORTANT DEFINITIONS)




### 2(c) "Basic shareholder"

- Means a person, company, or organization holding **1% or more** of the paid-up capital shares of an insurer.
- Includes a joint family where members, holding shares separately, together hold **1% or more** of the shares.

### 2(e) "Joint family"

Means the husband or wife, son, daughter-in-law, daughter, son-in-law, father, mother, stepmother of the concerned person, and other persons whom he/she is obliged to maintain or who are obliged to maintain him/her.

### 2(g) "Net worth"

Means the amount remaining after deducting from total assets currently held by an insurer:

- All liabilities including any reserve, fund or accumulated profit (other than goodwill); and
- Accumulated losses, if any.

### 2(h) "Life insurance"

Means a contract under which, in consideration of premium paid (lump sum or in instalments) based on age, a specified sum shall be paid to the insured person or an authorized person, or in case of death, to the nominated person or heir, as mentioned in the policy.

### 2(k) "Close relative"

Means a member of the joint family, or a **wide range of relatives** including in-laws and their spouses such as: father-in-law, mother-in-law, brothers, sisters, in-laws, paternal/maternal uncles, aunts, grandchlidren, nephews, nieces, and includes the spouses of such relatives.

### 2(l) "Non-life insurance"

Means insurance other than life insurance and reinsurance.

It is a contract where, in consideration of premium, the insurer agrees to provide a specified sum as compensation or indemnity for a risk relating to property or liability mentioned in the policy.

### 2(m) "Reinsurance"

Means a contract between an insurer and another insurer or reinsurer whereby a risk exceeding the amount the first insurer intends to retain is borne by the reinsurer or another insurer.

### 2(ff) "Financial interest"

Means a state of involvement in an insurer of the following persons, organizations, firms, companies or corporate bodies:

1. A director or basic shareholder or chief executive officer, or a member of his/her joint family.
2. A sole proprietorship or joint firm, company or corporate body that has the authority to nominate a director.
3. A director or chief executive officer of the firm, company or corporate body referred to in (2), or a member of his/her joint family.
4. Where a person, firm, company or corporate body referred to in (1) or (2) holds **10% or more** of the paid-up capital shares of any other sole proprietorship or joint firm, company or corporate body, such firm, company or corporate body.

### 2(mm) "Permanent residency permit"

Means a Diversity Immigrant Visa (DV), Permanent Resident Visa (PR) or Green Card provided to a Nepali citizen enabling him/her to reside permanently in a foreign country, with or without conditions.

Includes any permanent residency permit of whatever name given to a Nepali citizen to reside permanently abroad.

These **definitions** are key for **interpretation** and application of the **Insurance Act, 2079 (2022)** and its provisions.

**Note:** Sub-section letters as per Section 2 of the Insurance Act, 2079 (2022).

# Chapter-2 Establishment of Authority and Its Functions, Duties and Power

Section 3: Establishment of the Authority
Section 4: The Authority shall be an autonomous and incorporated body
Section 5: Functions, Duties and Power of the Authority
Section 6: Formation of the Board
Section 7: Appointment of Chairperson or Member
Section 8: Qualification and Disqualification of Chairperson and Member
Section 9: Tenure of Chairperson and Members
Section 10: Conditions of Service of the Chairperson and Members
Section 11: Oath to be taken
Section 12: Vacancy in the office of Chairperson or Member
Section 13: Functions Duties and Powers of the Chairperson
Section 14: Information to be provided to the Authority
Section 15: Non-abuse of regulatory opportunity
Section 16: Meeting of the Board
Section17: Restrictions on decision-making in cases of conflict of interest
Section 18: Committees and Sub-Committees may be formed
Section 19: Provision related to Employee

# Sections 3–5 — Summary

## Section 3 — Establishment of the Authority



Establishes the **Nepal Insurance Authority** as the regulatory body for insurance business.

- Central office: Kathmandu Valley.
- May establish offices within or outside Nepal as required.



## Section 4 — Autonomous & Corporate Body



Authority is an autonomous corporate body with:

- Perpetual succession
- Separate legal personality
- Exercises powers, performs duties, and assumes liabilities as a legal person under prevailing law.

## Section 5 — Functions, Duties & Powers

The Authority shall:



1. **Advise Government** on insurance matters and recommend national insurance policy.



2. **Approve establishment of insurance companies** and grant, renew, or revoke licences.



3. **Issue regulations, directives, guidelines** and **orders** for insurance business.



4. **Licence, renew** and **revoke licences** of insurance intermediaries.



5. **Determine capital** and **capital funds** for insurance business.



7. Conduct/promote **research, training, orientation** and **public awareness.**



8. **Decide insureds' complaints** concerning insurance liability and resolve insurance disputes.



9. Work to minimize insurance risks.



10. Develop skilled manpower and insurance education.



11. Expand insurance access to all citizens, including promotion of micro-insurance for low-income groups.



12. Coordinate and exchange information with governmental/non-governmental bodies, provincial governments and foreign/international insurance organizations.



13. Represent Nepal/Authority in international insurance organizations and obtain membership.



14. Operate the Policyholders' Protection Fund.



15. Perform other necessary functions as the insurance regulatory authority.

# Sections 6-8 — Summary

## Section 6 — Constitution of the Board




An officer-level employee designated by the Authority shall serve as **Secretary of the Board.**

## Section 7 — Appointment of Chairperson or Member

### Chairperson Selection Committee

- Concerned Member of National Planning Commission — **Coordinator**
- Secretary of the concerned Ministry
- One insurance-sector expert — **Member**

**The Committee recommends 3 qualified candidates to the Government of Nepal.**

**Government appoints one person as Chairperson from the recommended candidates.**

- Chairperson's appointment must be made at least 1 month before the position becomes vacant.
- Government appoints the life and non-life insurance expert members from persons meeting Section 8 qualifications.
- Appointment of these members must ensure at least one woman's representation.

## Section 8 — Qualification & Disqualification

### Qualifications

- At least a Master's degree or equivalent in:
  - Insurance, monetary/banking, finance, commerce, management, public administration, Statistics, mathematics, economics, or law
- At least 5 years of senior managerial experience in a relevant field.
- Must have high moral character.
- Must not be disqualified under Section 8(3).

**Exception: These educational/experience qualifications do not apply to the ex-officio members from the Ministry of Finance and Ministry of Law under Section 6(1)(b) & (c).**

### Disqualified Persons

**A person cannot be appointed or continue as Chairperson/Member if they:**

- Are not a Nepali citizen.
- Are an employee, director, consultant, or serving employee of an insurer.
- Are a basic shareholder or have a financial interest in an insurer, including through a joint family member.
- Are a basic shareholder of a corporate body having financial interest in an insurer.
- Have been declared insolvent.
- Are unable to serve due to physical or mental illness.
- Have been convicted of serious offences involving moral turpitude, including corruption, banking/insurance offences, fraud, human trafficking, money laundering or organized crime.
- Are blacklisted, unless 3 years have passed since removal.
- Have been penalized by a court or regulatory body under prevailing law.
- Hold permanent residency in a foreign country.
- Have ceased to be Chairperson, Board member, CEO, or senior management official of an insurer less than 2 years ago.

# Summary of Key Provisions: Sections 9–13

## SECTION 9 — TERM OF OFFICE



Chairperson and members appointed under Section 6(1)(d) & (e) serve for 4 years from the date of appointment.

reappointment

one additional term

## SECTION 10 — TERMS OF SERVICE



Chairperson serves as a full-time official of the Authority.



Remuneration, facilities and other terms of service are as prescribed.

## SECTION 11 — OATH



Before assuming office, the Chairperson and members appointed under Section 6(1)(d) & (e) must take an oath of office and secrecy.

Oath is administered by the Finance Minister in the prescribed Schedule format.



## SECTION 12 — VACANCY OF OFFICE

### Ceasing of Office



Written resignation is submitted to Government of Nepal.



Becomes disqualified under Section 8(3).



Is removed by Government of Nepal for misconduct, incompetence, or failure to perform duties.

### REMOVAL THROUGH INQUIRY



**Inquiry Committee**

- Retired High Court Judge — Chairperson
- 2 persons with Master's & 10+ years insurance/economics — Members




automatic suspension





Inquiry Committee's term: **maximum 3 months**

Vacancies in the Inquiry Committee are filled through the same appointment process for the remaining period.

## SECTION 13 — FUNCTIONS DUTIES AND POWERS OF THE CHAIRPERSON



Act as the chief administrative and chief executive officer of the Authority.





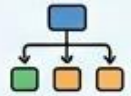
Submit insurance policies, rules, regulations, directives, procedures, periodic plans and annual programmes to the Board for approval.





Implement approved policies, regulations, directives, plans and programmes.





Direct and manage the Authority and organize its work.





Facilitate conciliation between insurers and insureds.





Conduct or arrange regulation, inspection and monitoring of insurance business.





Approve opening of branches, sub-branches and other offices of insurers or order their closure.



Exercise specified regulatory and enforcement powers under Section 134.





Delegate powers to subordinate employees and ensure necessary work is performed.

Represent, or arrange representation of, the Authority in international organizations.



# Sections 14–19 — Summary

## Section 14 — Information to be Given to the Authority




Chairperson and Members must disclose:

- Current profession, employment, business and office held.
- Whether they or their joint family members hold shares in any insurer, including the number of shares.
- Whether they or their joint family members were, during the previous 3 years, a director, officeholder, auditor or consultant of an insurer.
- Whether they or their joint family members worked as an insurance intermediary during the previous 3 years.
- Details of movable and immovable property held by themselves or their joint family members.

## Section 15 — Regulatory Opportunity Not to be Misused



- Chairperson, Board Members, Authority employees and auditors must maintain confidentiality of information obtained in their official capacity.
- Confidential information must not be disclosed or its source revealed, except to the concerned person as permitted by law.
- Confidential information must not be used for personal benefit or the benefit of joint family members.
- No person working for the Authority—including representatives, contractors, firms or companies —may misuse regulatory powers to provide benefits, facilitiss, concessions or advantages to themselves, their joint family or others.
- Violation constitutes misuse of authority under prevailing law, and information must be reported to the concerned body.

## Section 16 — Meetings of the Board

- Board must meet as necessary, but at least once every month.
- Chairperson fixes the date, place and time.
- If at least 3 Members request a meeting in writing, it must be called within 7 days.



- Quorum: More than 50% of total Board Members.
- Chairperson presides; in absence, senior-most Member presides.
- Decisions are by majority; presiding person has a casting vote in case of a tie.
- Board may invite relevant experts or officehoiders.
- Decisions must be recorded, signed by the presiding person and Members present, and certified and preserved by the Board Secretary.
- Other meeting procedures are determined by the Board.

## Section 17 — Conflict of Interest



- A Chairperson/Member must disclose any financial, personal or professional interest of themselves er their joint family in a matter before the Board.
- The concerned Member cannot participate in discussion on that matter.
- A decision made contrary to these requirements shall not apply to that Member.

## Section 18 — Committees & Sub-Committees



- Board may establish committees or sub-committees as necessary to assist in performing its functions.
- Board determines their:
  - Functions and duties
  - Powers
  - Working procedures
  - Facilities for members

## Section 19 — Employees of the Authority



- Authority may appoint the required number of employees for efficient operation.
- Appointment, remuneration, terms of service, facilities and other employment matters are as prescribed.
- Ministry approval is required before increasing the Authority's:
  - Staff structure
  - Employee remuneration
  - Employee facilities.

# Chapter-3 Fund, Accounts and Audit of the Authority

Section 20: Fund of the Insurance Authority
Section 21: Accounting of Income and Expenditure
Section 22: Audit
Section 23: Audit Committee

# Chapter 3 — Fund, Accounts & Audit of the Authority

## Section 20 — Fund of the Authority




Authority shall maintain a separate fund.

Fund sources include:

- Government of Nepal grants/amounts
- Fees for establishment, prior approval and licensing of insurance companies
- Fees for licensing/renewal of insurance intermediaries
- Regulatory fees from insurance business
- Amounts from foreign governments and international organizations
- Other permitted sources

Ministry's prior approval is required to receive funds from foreign governments/international organizations.

All funds must be deposited in a licensed bank or financial institution.

Authority's expenses shall be met from this fund.

After providing for the Authority's annual operation, management and insurance development, the remaining amount—except 50% thereof—shall be deposited annually into the Federal Consolidated Fund.

Other fund-related procedures shall be as prescribed.

## Section 21 — Accounts of Income & Expenditure



Authority must maintain books of account, accounts and financial statements accurately.

Accounts must comply with prevailing Nepal Accounting Standards (NAS).

Financial records must clearly reflect the Authority's financial position.

Authority must maintain an internal control system as prescribed.

## Section 22 — Audit



Authority shall be audited by the Auditor General.

Internal audit shall also be conducted regularly.

## Section 23 — Audit Committee




Board shall constitute an Audit Committee accountable to the Board:

- Board-designated Director — **Coordinator**
- Relevant subject expert designated by the Board — **Member**

Head of the Authority's internal audit department serves as **Secretary** of the Audit Committee.

Functions, duties and powers of the Audit Committee shall be as prescribed.

# Chapter-4 Provision Regarding License

Section 24: Restriction on Insurance Business without license
Section 25: Incorporation of Insurance Company
Section 26: Prior approval required
Section 27: Power to Refuse Prior Approval
Section 28: Application to be made
Section 29: Granting License
Section 30: Commencement of Insurance Business
Section 31: Refusal for Prior Approval and License
Section 32: Can open a branch office
Section 33: Can open a liaison office
Section 34: Cancellation of License
Section 35: List to be Published

# REGULATION OF INSURANCE BUSINESS: SECTIONS 24, 25 & 26

## (AS PER NEPAL INSURANCE ACT)

### SECTION 24 — INSURANCE BUSINESS WITHOUT LICENCE PROHIBITED

- No person may directly or indirectly conduct insurance business **without a licence** under the Act.
- This prohibition applies even if terms such as 'insurance,' 'reinsurance,' 'insurance fund,' etc. are not used.
- **Unlicensed persons/entities cannot use such insurance-related terms** in their company, firm or organization names for insurance business or other purposes.
- **Insurance transactions/business may be conducted only with an insurer licensed under this Act.**

### SECTION 25 — ESTABLISHMENT OF AN INSURANCE COMPANY

- A person wishing to conduct insurance business must **establish an insurance** company as a **public limited company** under prevailing law.
- **Existing insurers** already established and licensed before commencement of the Act need not re-establish.
- A person, joint family or **related** company/corporate body that is a basic shareholder **cannot hold more than 15% of the paid-up** capital of an insurance company.

  **EXCEPTION**: Government of Nepal, Provincial Government and foreign investors.
- **Existing shareholdings exceeding 15% must be brought within the limit within 2 years of commencement of the Act.**
- **A person/joint family/firm/company/ organization investing in one insurance company cannot acquire 1% or more of another insurer conducting the same class of insurance business.**

### SECTION 26 — PRIOR APPROVAL FOR ESTABLISHMENT

**BEFORE ESTABLISHING, THE APPLICANT MUST OBTAIN PRIOR APPROVAL FROM THE AUTHORITY AND SUBMIT PRESCRIBED FEE AND REQUIRED DOCUMENTS:**

- MOA & AOA
- Feasibility study and infrastructure details
- Founders' personal details
- Founders' agreements
- Tax clearance/proof of tax payment up to the previous fiscal year
- **For organizational applicants:** Board decision, constitutional documents, investment-capacity proof and regulatory approval where applicable
- Other documents required by the Authority.

**FOREIGN INSURANCE COMPANIES MAY, WITH AUTHORITY APPROVAL APPROVAL:**

- Establish a joint-venture insurance company with a Nepali corporate body or citizen; or
- Open a branch office in Nepal.

**FOREIGN APPLICANTS MUST ADDITIONALLY PROVIDE:**

- Home-country insurance licence and renewal proof
- Home regulator's approval for Nepal branch
- Board decision for JV/branch
- Last 5 fiscal years' audit reports
- Directors' details, shareholding and financial interests
- Other documents required by the Authority.

**AUTHORITY SHALL EXAMINE THE APPLICATION AND, WHERE APPROPRIATE, GRANT PRIOR APPROVAL WITHIN 60 DAYS OF RECEIVING THE APPLICATION.**

**AN INSURER MUST OBTAIN PRIOR APPROVAL OF THE AUTHORITY BEFORE AMENDING ITS MEMORANDUM OR ARTICLES OF ASSOCIATION.**

# 'SECTION 27 — POWER TO REFUSE PRIOR APPROVAL'

The Authority may refuse prior approval for establishing an insurance company or opening a foreign insurer's branch where:




**PROPOSED COMPANY NAME**
is similar to an existing insurer's name.



**NAME OR PROPOSED BUSINESS**
is against public interest, good conduct, decency, religion, caste or public order.



**MARKET CONDITIONS**
indicate that another insurer would not allow healthy and competitive insurance business.




**PROPOSED OBJECTIVES**
are contrary to prevailing law.




**EACH FOUNDER**
does not commit to at least 10,000 shares, or fails to disclose the number of shares to be taken.



**PROPOSED COMPANY**
does not plan to maintain the required paid-up capital under Section 36.

**A FOUNDER HAS BEEN CONVICTED OF SPECIFIED SERIOUS OFFENCES...**



- ☑ insurance/banking offences
- ☑ fraud
- ☑ forgery
- ☑ money laundering
- ☑ corruption

human trafficking or other offences involving moral turpitude —and and 5 years have not passed since completion of the sentence.








**REQUIRED DOCUMENTS/DETAILS UNDER SECTION 26**
are not submitted.



**PROPOSED COMPANY INTENDS TO CONDUCT BUSINESS**
other than insurance business.

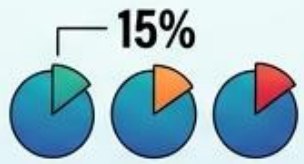



**PRIOR APPROVAL**
has been suspended under Section 31.






**FOUNDER OR JOINT FAMILY MEMBER HAS BEEN BLACKLISTED**
and 3 years have not passed since removal from the blacklist.




**A SINGLE PERSON, JOINT FAMILY, ORGANIZATION OR GROUP**
would own more than 15% of paid-up capital immediately committed by founders.

**EXCEPTION:** Government of Nepal, Provincial Government and foreign investors.




**APPLICANT/FOUNDER HAS A BASIC SHAREHOLDING**
in another insurer conducting the same type of insurance business.




**ADDITIONAL RESTRICTION:**
Authority shall not approve establishment of a company intending to conduct more than one type of insurance business, except reinsurance business.





**NOTICE OF REFUSAL:**
Where prior approval is refused, the Authority must provide the applicant with a written notice stating the reasons within 60 days of receiving the application.



# SECTION 28 — APPLICATION FOR INSURANCE BUSINESS LICENCE

A company that has been incorporated and obtained prior approval under Section 26 must apply to the **Authority** for an **insurance business licence** with the required documents.

## KEY DOCUMENTS & DETAILS

1. Authority's prior approval and company certificate of incorporation.
2. MOA & AOA of the insurance company.
3. For founder companies/corporate bodies:
   - Audit reports and financial statements showing tax compliance for the previous 3 fiscal years.
   - Details of their basic shareholders and joint family members.
4. Proposed type and class (portfolio) of insurance business.
5. Details of required infrastructure and, where applicable, rental agreement.
6. Personal details of the CEO and management-level officials.
7. Arrangements for insurance risk management.
8. Policies/details relating to:
   - Claims
   - Investment
   - Underwriting
   - Reinsurance
   - Information technology
9. Draft insurance policy; for reinsurers, draft reinsurance contract.
10. Proof that founders have paid up their committed shares.
11. Company's organizational structure.
12. Employee remuneration, terms of service and facilities bylaws.
13. Financial administration and procurement bylaws.
14. Other documents/details required by the Authority.

## FOREIGN INSURANCE COMPANY BRANCH

In addition to the above, a foreign insurer's branch must submit:

1. Home-country regulatory licence/approval to conduct insurance business in Nepal.
2. Proof of registration of the branch office in Nepal.
3. Details of any changes from information submitted during the Section 26 prior-approval process.
4. Other documents required by the Authority.

Governance & Business compliance

# Sections 29–30 — Licence & Commencement of Insurance Business

## SECTION 29 — GRANT OF LICENCE



Authority examines the **Section 28** application and supporting documents.



If the applicant is competent to conduct insurance business, the Authority shall:



Collect the prescribed fee;

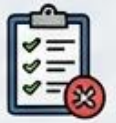



Grant the licence within **60 days** of receiving the application.



### Refusal of Licence

Authority shall notify the applicant with reasons **within 60 days** if:



Required Section 28 documents/details are missing;



Necessary infrastructure has not been arranged;

or



Granting the licence would not adequately protect the interests of insured persons.




Licence must specify the permitted **type and class** (portfolio) of insurance business under Section 61.



Licence becomes **effective** from the date of issue, unless another effective date is specified.



Authority may impose conditions considering:

- Prevailing law
- Insurer's financial and organizational structure
- Interests of insured persons



Authority may also specify or amend conditions through directives.



Insurer is legally required to comply with all conditions imposed by



Insurance licence is non-transferable.

## SECTION 30 — COMMENCEMENT OF INSURANCE BUSINESS




Insurer must commence the licensed insurance business within **6 months** of obtaining the licence.



If unable to start within 6 months, it must apply for an **extension** before expiry, stating proper reasons.



Authority may grant an extension of up to **6 additional months** if the reasons are justified.




Insurer must commence business within the extended period and notify the Authority.



Failure to commence within the extended period may result in **cancellation** of the licence.

# Sections 31–35 — Summary

## 1 SECTION 31 — SUSPENSION OF PRIOR APPROVAL OR LICENCE



Authority may temporarily suspend:

- Grant of prior approval under Section 26 for establishing an insurance company or foreign insurer's branch; or
- Grant of licence under Section 29.

Suspension may be imposed for a specified period based on the Authority's study, research and assessment of the insurance market.



## 2 SECTION 32 — BRANCH OFFICES



An insurer may open branch offices within Nepal or abroad.

Prior approval of the Authority is required.

Branch opening shall comply with prescribed requirements.

## 3 SECTION 33 — LIAISON OFFICE OF FOREIGN INSURER




A foreign insurance company may open a liaison office in Nepal with:

- Prior approval of the Authority; and
- Compliance with prevailing law.



A liaison office cannot conduct insurance business or transactions.

Other requirements are as prescribed.

## 4 SECTION 34 — CANCELLATION OF LICENCE FOR INSURANCE CLASS/PORTFOLIO



An insurer may apply to cancel its licence for one or more classes (portfolios) of insurance business.

It cannot cancel all classes/portfolios it is conducting.

Authority may approve cancellation if the application is found reasonable.

Other cancellation procedures are as prescribed.



## 5 SECTION 35 — PUBLICATION OF LICENSED INSURERS



Authority must publish an updated list of licensed insurers at least every 3 months.

Publication must be through:

- At least 2 national-level daily newspapers, and
- Authority's website.

Published information includes:

- Date of commencement of transactions
- Paid-up capital
- Premium
- Claims
- Other details determined by the Authority.



# Chapter-5 Provision on Capital Fund and Shares Allotment of Insurer

Section 36: Paid Up Capital of the Insurer
Section 37: May order capital reduction
Section 38: Insurance Fund
Section 39: Compulsory Reserve Fund
Section 40: Catastrophic Fund
Section 41: Claim Payable Fund and Reserve Fund
Section 42: Assets to be maintained more than liabilities
Section 43: Restriction on Distribution of Dividend
Section 44: Allotment of Shares
Section 45: Prospectus and Issue of Shares
Section 46: Restriction on sold, mortgaged, or transferred

# SECTIONS 36–38 — CAPITAL & INSURANCE FUND

## SECTION 36 — PAID-UP CAPITAL OF INSURER

Minimum paid-up capital of an insurer shall be determined by the Nepal Insurance Authority from time to time.

Authority may order insurers to increase paid-up capital within a specified period, considering:
- Financial or capital market conditions
- Insurer's liabilities
- Financial position of insurers

Insurers must meet the increased capital requirement within the prescribed timeframe.

Failure to maintain required paid-up capital may result in licence Suspension

Other capital-related matters shall be as prescribed.

## SECTION 37 — POWER TO ORDER REDUCTION OF CAPITAL

**Authority may order an insurer to reduce its paid-up capital** where:
- Licence for any previously conducted insurance class/portfolio is cancelled; or
- Insurer is classified as a troubled insurer under Section 101.

MIN

**Minimum capital protection:**
Capital cannot be reduced below the minimum paid-up capital prescribed under Section 36(1).

## SECTION 38 — INSURANCE FUND

Every insurer must maintain an **insurance fund** in the amount and ratio determined by the Authority.

A **separate fund** must be **maintained** for each insurance class/portfolio, as prescribed.

NOT TRANSFERABLE

Funds relating to one insurance class/portfolio **cannot be transferred** or used for another class/portfolio.

Liabilities of one class/portfolio **cannot be paid** from the fund maintained for another class/portfolio.

# SECTIONS 39–42 — RESERVES, CLAIMS & SOLVENCY

## SECTION 39



### COMPULSORY RESERVE FUND

Every insurer must maintain a separate compulsory reserve fund to meet insurance liabiiities. Required contributions include:

- LIFE INSURERS: At least the total liability determined by an actuary based on policies issued throughout Nepal.
- NON-LIFE INSURERS: Amount based on the proportion of net premium determined by the Authority.
- NON-LIFE INSURERS: 50% of profit must be deposited until the prescribed reserve reaches the insurer's paid-up capital.
- Insurer may establish additional reserve funds as necessary.
- Reserve requirements for reinsurers and other related matters are determined by the Authority.

Life Insurance

## SECTION 40



### CATASTROPHE FUND

- Every insurer must maintain a separate catastrophe fund.
- Fund is intended to cover future losses arising from catastrophes.
- Other requirements are determined by the Authority.

Natural disasters + Emergency Planning

## SECTION 41



### CLAIM PAYMENT FUND & RESERVE FUND

Insurer must establish a claim payment fund and reserve fund and provide for:

- Outstanding claims not settled within the prescribed period.
- Claims that have occurred but:
  - Have net yet been reported (IBNR); or
  - Have not been adequately reported (IBNER).
- Unexpired risk reserve.
- Amounts and other requirements are determined by the Authority.

## SECTION 42




### ASSETS MUST EXCEED LIABILITIES

- An insurer's total assets must exceed total liabilities.
- Authority determines the required solvency margin (ratio of total assets to total liabilities).
- Existing insurers and foreign insurer branches operating when the Act commenced must meet the prescribed solvency margin within the period specified by the Authority.
- Valuation of the insurer's assets and liabilities shall be as prescribed.

# 'SECTIONS 43–46 — DIVIDENDS & SHARES'

## SECTION 43 — RESTRICTION ON DIVIDEND DISTRIBUTION

An insurer cannot declare or distribute dividends until it:

1. Makes adequate risk-bearing/reserve fund arrangements to cover all preliminary expenses and losses up to the previous fiscal year.
2. Meets the minimum paid-up capital under Section 36.
3. Maintains the required solvency margin under Section 42.
4. Fully distributes and receives payment for shares offered to the general public.
5. Obtains prior approval of the Authority before declaring dividends, as prescribed.



## SECTION 44 — ALLOTMENT OF SHARES

- At least 30% of total issued capital must be allotted for sale to the general public.

**30%** with public crowd

- Foreign insurer branch offices cannot issue or sell shares.
- Up to 5% of public-offer shares may be reserved for employees.
- With Authority approval, remaining shares may be converted into general public shares, provided founder shareholders retain at least 51% ownership.

**51%**

- Shares of insurers owned by the Government of Nepal or Provincial Government are governed as determined by Government of Nepal.
- Other share allotment/sale matters follow prevailing federal securities law.



## SECTION 45 — PROSPECTUS & PUBLIC ISSUE

- Before a public securities issue, insurer must submit to the Authority a prospectus approved by SEBON.

SEBON

- Prospectus cannot be published until submitted as required.
- Authority cannot register the prospectus until receiving written confirmation of SEBON approval.
- Public shares may be issued only after:
  - 1 year has passed since commencement of insurance business; and
  - Previous year's audit has been completed.
- Applications for public shares must require payment of 100% of face value.



## SECTION 46 — RESTRICTION ON SALE, PLEDGE & TRANSFER OF SHARES

### 'Founder Shares'

- Founder cannot sell, pledge or transfer founder shares for 5 years from establishment.
- Excess shares held above the statutory limit before commencement of the Act must be sold/distributed within 2 years.
- In a special situation, or where a founder is blacklisted, founder-to-founder transfer/sale may be permitted with Authority approval.
- After 5 years, conditions for pledge/sale/distribution are determined by the Authority.

### 'Special Situation'

- Board fails to meet for 3 consecutive times due to lack of quorum, or
- Board cannot make decisions due to mutual disputes among directors.

### 'Insurer's Key Personnel'

CEO, anditor, employee, company secretary and persons directly involved in management/sccounting cannot trade, pledge, transfer or otherwise deal in shares of the insurer or its subsidiary:

job tenure

- During their tenure; and
- For 1 year after leaving office.

- For 1 year after leaving office.

This restriction also applies through their jeint family members or financially interested/controlled oniities.

### Exceptions'

The restriction does not prevent transactions involving:

- Bonus shares
- Rights shares
- Employee shares
- New share issues
- Acquisition/merger/amalgamation of insurers
- Transfer of insurance business
- Transactions required to implement an Authority directive

Other share transactions shall comply with prevailing law.

# Chapter-6 Board of Directors and Chief Executive

Section 47: Formation of Board of Directors
Section 48: Term of Office of the Director
Section 49: Qualifications of Directors
Section 50: Disqualifications of Directors
Section 51: Discontinue to hold the office of Director
Section 52: Meetings of Board of Directors
Section 53: Functions, Duties and Powers of the Board
Section 54: Committee or sub-committee may be formed
Section 55: Delegation of Powers
Section 56: Management of Insurance Company
Section 57: Appointment of the Executive Director
Section 58: Functions, Duties and Power of Chief Executive
Section 59: Technical or Management Service Agreement
Section 60: Able to create a whistleblowing policy

# SECTIONS 47–48 — BOARD OF DIRECTORS OF INSURER

## SECTION 47 — CONSTITUTION OF BOARD OF DIRECTORS

### BOARD COMPOSITION

**5 to 7 DIRECTORS** + **at least 1 INDEPENDENT DIRECTOR**



### INDEPENDENT DIRECTOR




Board must appoint at least 1 independent director meeting Section 49 qualifications and report the appointment to the first subsequent General Meeting.

### APPOINTMENT



Directors are generally appointed by the General Meeting.

Directors are generally appointed by the General Meeting.

### BEFORE FIRST AGM




Before the first AGM: Founders appoint the directors.

### VACANCY



If a director's position becomes vacant before the AGM, the Board may appoint a replacement

### BOARD CHAIRPERSON



Board elects its Chairperson by majority from among directors.



Independent director cannot be Chairperson.

### OATH



Directors and the Board Chairperson must take the prescribed oath of office and secrecy before assuming office.

### INSTITUTIONAL SHAREHOLDERS




Where Government, an insurer, organized institution, company or foreign insurer holds shares, the shareholder may appoint directors in proportion to its shareholding, along with an alternate director.

### JOINT FAMILY RESTRICTION

Only one member of a joint family may serve as director of:

- The same insurer; or
- Insurers conducting the same type of insurance business.



### VACANCY REPLACEMENT




If a director's position becomes vacant, the Board must appoint a replacement within 35 days, to serve until the next General Meeting.

## SECTION 48 — TERM OF DIRECTOR




### DIRECTOR'S TERM

**maximum 4 years**



### REAPPOINTMENT



**REAPPOINTED OR RENOMINATED**

Director may be reappointed or renominated.

### INDEPENDENT DIRECTOR TERM




Independent director: May serve only one term.

# INSURER DIRECTORS: QUALIFICATION & DISQUALIFICATION (SECTIONS 49–50)

## SECTION 49 — QUALIFICATION OF DIRECTOR

**A person is eligible to become a director if they meet any one of the following:**

### 5+ YEARS' EXPERIENCE




As a director/officeholder of an insurer, bank, financial institution, related organized institution, government service, or at officer level of an organized institution;

### BACHELOR'S DEGREE + 3+ YEARS' EXPERIENCE



Bachelor's degree + at least 3 years' relevant experience as specified above;

### PROFESSIONAL / MASTER'S DEGREE




Chartered Accountant, or holder of a Master's degree/equivalent in insurance, banking, finance, commerce, management, public administration, statistics, mathematics, economics or commercial law.

### INDEPENDENT DIRECTOR



**Must have:**

- Master's degree/equivalent in a specified relevant field; and
- At least 5 years' experience as a director or at management level in a domestic/foreign insurer or related organized institution.

**The following cannot be independent directors:**

- ⊗ Existing director or joint family member of a director
- ⊗ Auditor or consultant of the insurer
- ⊗ Basic shareholder
- ⊗ Person having a financial interest in the insurer.

## SECTION 50 — DISQUALIFICATION OF DIRECTOR

**A person is disqualified from becoming a director if they:**




Below 25 years of age



Unable to serve due to physical or mental illness




Have been declared insolvent




Have been removed from a blacklist for less than 3 years






Are a serving director/employee of an insurer, bank, financial institution or deposit-taking organized institution, or hold basic shares in another insurer's founder group




Are the insurer's serving auditor or consultant, or have a contractual/lease relationship or personal interest with the insurer



Are a securities dealer or merchant banker







Are already a director of another insurer






Are disqualified under the insurer's bylaws due to shareholding requirements





Have not acquired the minimum shares required to become a director






Hold public office or are serving employees of Government or specified government-owned institutions



**Exception:**
Government/Provincial Government or government-owned institutions/insurers may nominate representatives to an insurer of a different type in which they hold shares.



Have outstanding tax liabilities





Have been convicted of offences involving moral turpitude, including theft, fraud, forgery, corruption, insurance/banking offences or money laundering, and 5 years have not passed since completion of sentence






Have been penalized by a regulatory body for violating law and 5 years have not passed since the action






Have not completed imprisonment or paid a court-imposed fine, or have outstanding government dues





Have been penalized by the Authority for violating its directives and 3 years have not passed since the action



# SECTION 51 — WHEN A DIRECTOR CEASES TO HOLD OFFICE

**BECOMES DISQUALIFIED UNDER SECTION 50**

**RESIGNATION IS ACCEPTED**

**AT LEAST 51% OF THE SHAREHOLDERS** of the represented group **PASS A RESOLUTION AT THE GENERAL MEETING** to remove the director




▶ GROUP: FOUNDER SHAREHOLDERS AND GENERAL PUBLIC SHAREHOLDERS

**AUTHORITY DIRECTS REMOVAL** because the director is disqualified or has acted against the interests of the insurer or insured

## NOTICE & REMOVAL

**INSURER MUST NOTIFY THE AUTHORITY WITHIN 15 DAYS** if a director becomes disqualified or otherwise ceases to hold office

**WHERE DISQUALIFICATION IS REPORTED, THE AUTHORITY MAY CONDUCT AN INQUIRY AND DIRECT THE INSURER TO REMOVE THE DIRECTOR**

# SECTION 52 — MEETINGS OF THE BOARD OF DIRECTORS

**BOARD MUST MEET AT LEAST 6 TIMES A YEAR**

**INTERVAL BETWEEN MEETINGS MUST NOT EXCEED 2 MONTHS**

**AT LEAST ¼ (25%) OF DIRECTORS MAY REQUEST A MEETING IN WRITING**

**CHAIRPERSON FIXES THE DATE, PLACE AND TIME AND PRESIDES**

**IN THE CHAIRPERSON'S ABSENCE, THE SENIOR-MOST DIRECTOR PRESIDES**

**QUORUM: AT LEAST 51% OF TOTAL DIRECTORS**

**DECISIONS ARE BY MAJORITY; PRESIDING MEMBER HAS A CASTING VOTE IN CASE OF A TIE**

**ATTENDANCE, DISCUSSIONS AND DECISIONS MUST BE RECORDED IN A SEPARATE MINUTES BOOK** and signed by directors present

**A DIRECTOR MAY RECORD A DISSENTING OPINION**

**A DIRECTOR HAVING AN INTEREST IN A MATTER MUST DISCLOSE THE INTEREST AND NOT PARTICIPATE** in the relevant meeting

**BOARD MAY SEEK EXPERT ADVICE** on matters under discussion

**DIRECTORS RECEIVE MEETING ALLOWANCE** and other facilities as determined by the General Meeting, subject to Authority directives

# SECTIONS 53–56 — BOARD POWERS, DELEGATION & MANAGEMENT

## SECTION 53 — FUNCTIONS, DUTIES & POWERS OF THE BOARD




- Board exercises all functions and powers of the insurer, except matters reserved for the General Meeting, subject to the Act, prevailing law and MOA/AOA.



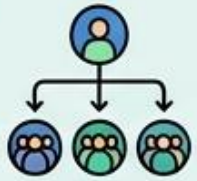
Directors must operate the insurer in the interests of insured persons and public shareholders by:

- Managing and mitigating overall risks
- Maintaining good corporate governance
- Ensuring uninterrupted day-to-day operations

### Key Board Functions

- Prepare and implement necessary rules, regulations, work plans and directives in accordance with the Act, applicable laws and Authority directives.
- **Develop measures and guidelines** for:
  - Risk management
  - Claim settlement
  - Asset & liability management
  - Internal controls
  - Budget and other necessary matters
- Formulate policies for insurer's activities and supervise daily operations.
- Maintain required capital, capital funds and assets as prescribed by the Authority.
- Regularly monitor and analyze policies and issue necessary directions to management.
- Present the audited financial statements/ report to the General Meeting.
- Perform other functions directed by the Nepal Insurance Authority.

## SECTION 54 — COMMITTEES & SUB-COMMITTEES



Board may establish committees or sub-committees for specific purposes, unless the Act assigns a function specifically to another body/officeholder.

- Formation must comply with Authority directives.
- Board determines their functions, duties, powers and meeting procedures.

## SECTION 55 — DELEGATION OF AUTHORITY

- Board may delegate powers under the Act, Rules and MOA/AOA to:
  - A director
  - Committee/sub-committee under Section 54
  - Chief Executive Officer (CEO)
  - Person acting as CEO

**Restriction:** Managerial authority cannot be delegated to a director.

## SECTION 56 — MANAGEMENT OF INSURER

- Insurer shall appoint the necessary **employees** to conduct insurance business.
- A person having a financial interest in the insurer cannot be appointed as an employee.
- **Management expenses** must be controlled so they do not adversely affect insured persons.
- **Authority** determines the **limit** on **management expenses** and other related requirements.

# SECTION 57 — APPOINTMENT OF CHIEF EXECUTIVE OFFICER (CEO)

## 1. APPOINTMENT & TENURE




- Board **appoints one CEO** to operate and manage the insurer.
- Term: Maximum 4 years.
- May be reappointed for 1 further term.
- Board may **remove** the CEO for unsatisfactory performance, but must provide a reasonable opportunity to submit clarification.

## 2. CEO QUALIFICATIONS & EXPERIENCE

### Route 1

- **Master's degree/equivalent** in insurance, banking, finance, commerce, management, public administration, statistics, mathematics or economics; and
- 7 years management experience, including:
  - **5 years** in insurance, OR
  - **8 years** in banking/financial sector, OR
  - **Experience in both sectors** with at least 1 year in insurance.

### Route 2

- **Chartered Accountancy** OR **Bachelor's degree/equivalent** in specified fields including insurance, banking, finance, management, economics, engineering or law; and
- 12 years management experience, including:
  - **10 years** in insurance, OR
  - **15 years** in banking/financial sector, OR
  - **Experience** in both sectors with at least 1 year in insurance.

**Reporting:** Insurer must notify the Authority of the CEO's appointment within 7 days.

## 3. PERSONS DISQUALIFIED FROM BECOMING CEO







- Is incapable of serving as a director due to physical/mental illness.
- Is blacklisted, or less than 3 years have passed since removal from blacklist.
- Is a director, close relative of a director, employee, intermediary or consultant of the insurer.
- Was an auditor of the same insurer within the preceding 3 years.
- Is a securities dealer or securities-market member.
- Has a financial interest in the insurer.
- Has previously served as Chairperson/Board Chairperson, subject to the Government exception.
- Was previously a CEO and 6 months have not elapsed since leaving that position.
- Has not completed 3 years since serving an imprisonment sentence.
- Holds permanent residency abroad (exception for CEO of a foreign insurer or foreign joint-venture insurer).
- Has been convicted of offences such as fraud, forgery, corruption, money laundering, banking/insurance offences, human trafficking, hostage-taking or abduction.
- Holds public office.

## 4. SPECIAL PROVISIONS

- A foreign insurer holding a majority shareholding may appoint its own employee as CEO, subject to Section 57.
- A **foreign insurer's Nepal branch** must appoint a CEO meeting the prescribed qualifications and experience.
- CEO's remuneration, terms of service and facilities are determined by the Board, subject to Authority directives.

# Sections 58–60 — CEO, Service Agreements & Whistle-Blowing

## Section 58 — Functions, Duties & Powers of CEO



### Core Duty

- Manages the insurer's day-to-day business and administration.
- Must act according to:
  - Board-approved policies
  - Authority directives
  - Prevailing law

### Key Powers & Responsibilities

- Exercise powers delegated by the Board and implement Board decisions.
- Oversee and control the insurer's operations and transactions.
- Prepare the annual budget and work plan and submit them to the Board for approval.
- Manage required human resources according to employee bye-laws.
- Implement decisions of the General Meeting and Board.
- Ensure compliance with the Act and Authority directives, including effective:
  - Internal control
  - Risk management
- Timely submit required reports, information, documents and decisions to the Authority and other relevant bodies.

### Accountability

CEO is accountable to the Board of Directors for his/her work.

Board

## Section 59 — Management or Technical Service Agreement




Insurer may enter into a **management or technical service agreement** with:

- A domestic person, or
- A foreign organized institution.

**Prior approval of the Authority is mandatory.**

Draft agreement must be submitted to the Authority before execution.

Other requirements relating to such agreements and expert services are as prescribed.

Draft → Authority Approval → Execution

## Section 60 — Whistle-Blowing Policy

Insurer may formulate and implement a **whistle-blowing policy.**

- Enables **confidential reporting** of actual or **potential irregularities** by:
  - Management
  - Officeholders
  - Employees
  - CEO
  - Auditor/consultant
  - Insurance intermediary
- **Reports may concern violations of the Act, Rules, Regulations or Authority directives.**
- **Board's duty:**
  Protect the professional security of whistle-blowers who confidentially report irregular acts.



# Chapter- 7 Operation of Insurance Business

Section 61: Type of Insurance Business
Section 62: Insurance Contract
Section 63: Insurance Policy
Section 64: Insurance Premium
Section 65: Group Insurance Fund
Section 66: Insurance Not to Be Done
Section 67: Restrictions on undertaking business in partnership or acquire assets in ownership
Section 68: Possession of Property Prohibited
Section 69: Activities restricted to be carried on by Insurance Company
Section 70: The Insurance Appraisal
Section 71: Allocation of Savings
Section 72: Accepting risk based on the property itself
Section 73: Investment in Subsidiary Company
Section 74: Obtained Approval While Selling Assets

# Sections 61–63 — Insurance Business, Contracts & Policies

## Section 61 — Types of Insurance Business



**There are 3 types of insurance business:**



**Life Insurance**
Life insurers may conduct prescribed life insurance portfolios, subject to their licence.



**Non-Life Insurance**
Non-life insurers may conduct prescribed non-life insurance portfolios, subject to their licence.



**Reinsurance**
Business conducted by reinsurers shall be as determined by the Authority.



## Section 62 — Insurance Contract



Insurance contract must be in writing.



The following form integral parts of the contract:



- Insurance proposal
- Policy
- Policy schedule
- Related confirmations



**Good-faith disclosure:**
Insurer and insured must clearly disclose relevant factual information concerning the proposed risk.



The proposer must have an insurable interest in the subject matter of insurance.

Other contractual requirements are as prescribed.

## Section 63 — Insurance Policy



Insurer must issue a policy approved by the Authority.

Once issued, the policy terms constitute the insurance contract and are binding on both parties.

**One-year disclosure rule:**
After 1 year from policy issuance, the insurer generally cannot raise questions regarding matters not disclosed at the time of proposal.



**Exception — bad faith:**
If the insured deliberately concealed material risk information or provided false information, the insurer may:

- Require correction of the information, or
- Withhold facilities/benefits otherwise available under the policy.



**Life insurance:**
Policy title may be transferred to another person as prescribed.

Other policy matters are determined by the Authority.

# Sections 64–66 — Premium, Insurance Pool & Restricted Insurance

## Section 64 — Premium

Premium must be calculated according to the insurance rate determined by the Authority.

Full premium must generally be collected before issuing a policy.

➤ **Exception — Bank/Government Guarantee:**

- Policy may be issued where payment is guaranteed by a bank or Government of Nepal, with a specified payment period.
- Bank-guarantee-based policy cannot exceed 30 days.

30 Days

➤ **Special payment arrangements:**

- Life insurance may be issued on an instalment basis.
- Prescribed types of non-life insurance may be issued upon partial premium payment.

➤ Where an authorized premium-collecting person/organization fails to remit collected premium on time, the insurer must inform the insured.

Failure

Other matters relating to insurance rates and premiums are determined by the Authority.

## Section 65 — Collective Insurance Fund

**(Insurance Pool)**

**Authority may:**

- Require an insurer to establish a Collective Insurance Fund (Insurance Pool), or
- Establish such a fund itself.

➤ **Purpose:** Share/bear liabilities arising from particular groups of risks.



## Section 66 — Insurance Not to Be Effected

**An insurer generally cannot insure property or liability of:**

- The insurer itself.
- Its basic shareholder, director, consultant, auditor, employee, or their joint-family member.
- A basic shareholder or joint-family member.
- A firm/company/organization having the power to appoint or nominate the insurer's director.
- A firm/company/organization in which an insurer's director has a financial interest, or acts as managing agent, partner or director.
- Similar entities connected with a basic shareholder or joint-family member.

**Exceptions**

Life insurers may insure the specified persons within actuarial conditions and limits fixed by the Authority.

Restrictions do not apply to property or liability owned by the Government of Nepal.

# SECTIONS 67–69 — RELATED-PARTY RESTRICTIONS & PROHIBITED ACTS

## SECTION 67 — NO PARTNERSHIP OR PROPERTY COMBINATION



An insurer cannot conduct business in partnership with or combine its property with:

- Its director or director's joint-family member
- A basic shareholder
- A person having financial interest
- Firms/companies/organizations in which the insurer or its director is a managing agent or partner
- The CEO

**Existing arrangements:** Any such partnership or combined property existing before the Act must be separated within 6 months of commencement of the Act.

## SECTION 68 — RESTRICTION ON USE OF PROPERTY



Insurer's property cannot be used by a director, joint-family member, basic shareholder, financially interested person, related firm/company/organization, or CEO, except benefits legally received in their official capacity.

Insurer cannot rent or otherwise use property belonging to:

- Director or director's joint-family member
- Basic shareholder
- Related firm/company/organization
- CEO

## SECTION 69 — ACTS PROHIBITED FOR INSURERS



An insurer must not:

- Buy/sell movable or immovable property above the Authority-prescribed limit.
- Provide prohibited loans, guarantees or security involving basic shareholders and related persons/entities.
  - Grant loans, except:
    - Loans to insured persons secured by a life insurance policy, or
    - Employee loans/advances permitted by employee bye-laws.
- Issue a policy in a format or form not approved by the Authority.
- Calculate premiums contrary to the Authority-approved insurance rate.
- Invest in shares/securities of another insurer or insurance broker conducting the same type of insurance business.
  - Exception: With prior Authority approval, an insurer may purchase securities of an insurer conducting a different type of insurance business.
- Invest in an entity where a Board member is a director or has personal, financial or business interest.
- Create a monopoly or otherwise control the insurance business.
- Restrict or obstruct fair competition or engage in restrictive practices.
- Commit any act contrary to the Act, Rules, Regulations or Authority directives.



## MONEY LAUNDERING / ILLEGAL FUNDS

Where an insurer knows or suspects that an insured person:

- Has obtained money illegally, or
- Has committed a money-laundering offence,

the insurer must not conceal the fact, alter/conceal information, make prohibited payments, falsify the source of funds, or assist the person in avoiding legal action.

**REPORTING DUTY:**
If the insurer knows, receives information, or has reasonable grounds to suspect such conduct, it must immediatsly report it to the Financial Information Unit (FIU) established under prevailing law.

# Sections 70–74 — ACTUARIAL VALUATION, SAVINGS, RISK & INVESTMENT



## SECTION 70 — ACTUARIAL VALUATION



Every insurer must have its financial position, assets, liabilities and financial condition valued by an actuary approved by the Authority.

Insurer must submit the actuarial valuation report to the Authority.

Other valuation requirements are as prescribed.



## SECTION 71 — ALLOCATION OF SAVINGS

**For profit-participating life insurance policies:**




Insurer must determine and provide for savings from life insurance business based on the actuary's valuation report.

With Authority approval, at least 90% of savings must be transferred to the Life Insurance Fund.

Other provisions on allocation and provisioning are as prescribed.



## SECTION 72 — RISK BASED ON NET WORTH




Insurer must accept insurance risk based on its net worth.

Detailed requirements are as prescribed.



## SECTION 73 — INVESTMENT IN SUBSIDIARY COMPANY




Insurer may establish or invest in a subsidiary company only with prior Authority approval.

Authority may impose conditions, which the insurer must comply with.



Restriction: An insurer cannot establish or invest in a subsidiary conducting the same type of insurance business.

Other investment requirements are determined by the Authority.



## SECTION 74 — APPROVAL FOR DISPOSAL OF PROPERTY BY FOREIGN INSURER

A foreign insurance company must obtain Authority approval, in addition to any approval required under prevailing law, when it:





Disposes of or mortgages immovable property in Nepal;



Disposes of movable property above the prescribed limit; or



Repatriates property/assets abroad.

Authority may impose conditions or standards while granting approval.





# Chapter-8 Micro Insurance Business

Section 75: Micro Insurance is Required
Section 76: Incorporation of Insurance Company for Micro Business Only
Section 77: Contract to be made
Section 78: Claim of Micro-Insurance
Section 79: Micro-Insurance Regulation Fees

# Chapter 8 — Micro-Insurance Business
## Sections 75–79

### SECTION 75 — MICRO-INSURANCE TO BE CONDUCTED



- Every insurer must conduct micro-insurance business.
- Target groups:
  - Low-income population
  - Disadvantaged areas

### SECTION 76 — DEDICATED MICRO-INSURANCE COMPANY




- A separate insurance company may be established solely for:
  - Micro-life insurance, or
  - Micro-non-life insurance.
- Capital requirement: As prescribed.
- Establishment and licensing are governed by the Insurance Act.

### SECTION 77 — AGREEMENT WITH MICRO-INSURANCE AGENTS




- Insurer must enter into a written agreement before appointing an insurance agent for micro-insurance.
- Where the agent is an organized institution, prescribed authority may be delegated to it through the agreement.

### SECTION 78 — MICRO-INSURANCE CLAIMS




**For life** **Property** **Liability**

- Properly submitted claims relating to insured life, property or liability must be settled within 21 days.
- Other claim procedures are as prescribed.

### SECTION 79 — MICRO-INSURANCE REGULATORY FEE




- Every insurer must pay the Authority a regulatory fee for micro-insurance regulatory services.
- Fee: 0.5% of annual total premium earned.

# Chapter- 9 Re-Insurance Business

Section 80: Reinsurance Required
Section 81: Re-Insurance Business
Section 82: Provisions related to re-insurance contracts

# CHAPTER 9 — REINSURANCE BUSINESS

Sections 80–82

## 80 SECTION 80 — REINSURANCE TO BE EFFECTED




- Every insurer must effect reinsurance for the portion of risk/liability that remains after the insurer retains its own share of risk.
- **Purpose:** Manage and protect against excessive insurance risk.

## 81 SECTION 81 — REINSURANCE BUSINESS




- A reinsurer may:
  - Accept reinsurance of both life and non-life insurance business.
  - Accept reinsurance from, or cede reinsurance to, foreign insurers or reinsurers.
- A domestic insurer must compulsorily reinsure with a reinsurer established in Nepal at not less than the percentage prescribed by the Authority.
- Reinsurance business may be conducted:
  - Directly by the reinsurer, or
  - Through an insurance broker.
- Other requirements are as prescribed.

## 82 SECTION 82 — REINSURANCE CONTRACT



- Reinsurance contract format must receive prior approval from the Authority.
- Authority may order review of a reinsurance contract at any time where:
  - It does not adequately protect the insured's interests, or
  - The contract does not appear to provide adequate coverage for the risk/liability.
- Other requirements relating to reinsurance contracts are as prescribed.

# Chapter- 10 Accounts and Audit of Insurance

Section 83: Accounts to be maintained accurately
Section 84: Preparation of Financial Statements
Section 85: Audit Committee of Insurer
Section 86: Appointment of Auditor of Insurer
Section 87: Audit of Insurer
Section 88: Right to give order with respect to Audit of Insurer
Section 89: Recommending Action

# CHAPTER 10 — ACCOUNTS AND AUDIT OF INSURER

## SECTION 83 — ACCOUNTS TO BE PROPERLY MAINTAINED

- Insurer must properly maintain books of account, ledgers, records and accounting records.
- Records must accurately reflect:
  - Assets
  - Liabilities
  - Income
  - Expenditure
  - True financial position of transactions.
- Accounts must follow prevailing law, accepted accounting principles and double-entry accounting system.
- Accounts and records must be maintained at the head office, unless Authority permits otherwise.
- Other matters shall be as prescribed.



## SECTION 84 — FINANCIAL STATEMENTS TO BE PREPARED

**Quarterly financial statement:**
Submit to Authority within 30 days of each quarter-end.

**Quarterly statement must include:**

- Income & expenditure
- Net worth and changes
- Insurance
- Reinsurance
- Claims
- Investment

**Annual audited financial statements:**
Prepare audited balance sheet and profit & loss statement for each fiscal year and submit within 6 months of the following fiscal year.

Insurer must publicly disclose its financial position and risk status every 3 months.

Other matters shall be as prescribed.




## SECTION 85 — AUDIT COMMITTEE OF INSURER



**Constitution & Structure:**

- Licensed insurer must constitute a 3-member Audit Committee:
  - Within 30 days of commencing insurance business.
  - Existing insurer without an Audit Committee: within 30 days of commencement of the Act.
- Committee is coordinated by a director representing general public shareholders.
- Authority must be informed after constitution.
- Chairperson, CEO, chief of accounts and close relative cannot be members.

**Key Functions:**

- Review financial statements for accuracy and reliability.
- Monitor accounts, budget and internal controls.
- Review procurement for appropriateness and economy.
- Ensure proper maintenance of ledgers and internal audit records.
- Review underwriting, claims, investment and reinsurance activities and records.
- Verify compliance of accounts and financial statements with Authority directives, Regulations and bye-laws.
- Recommend 3 auditors for appointment.
- Provide opinion/advice requested by the Board.
- Verify compliance with Authority directives.
- Audit Committee must submit its functional report to the Board of Directors.



# Sections 86–89 — AUDIT OF INSURER

## 86. APPOINTMENT OF AUDITOR



Insurer shall appoint an auditor as per prevailing law.

**CERTAIN PERSONS CANNOT BE APPOINTED, INCLUDING:**

- ✖ – Basic shareholders, directors, and their close relatives
- ✖ – CEO and close relatives
- ✖ – Employees, intermediaries, and their joint-family members
- ✖ – Former employees until 3 years after separation
- ✖ – Partners of directors, CEO, or employees
- ✖ – Persons having financial interest in the insurer
- ✖ – Insured persons exceeding the prescribed insurance limit
- ✖ – A person who audited the same insurer for 3 consecutive fiscal years
- ✖ – Authority's directors/employees and their close relatives/partners
- ✖ – Persons otherwise disqualified under prevailing law.



## 87. AUDIT OF INSURER



Audit must be completed within 3 months after the end of the fiscal year.
Authority may extend the period by up to 2 months on reasonable grounds.

**Audit report must disclose:**

- Observations/irregularities;
- Whether management has responded.

Authority may prescribe a Long-Form Audit Report format.

Insurer must submit audited financial statements to the Authority for approval within 30 days of audit completion. → Authority may summon directors, CEO, employees, auditor, or ther concerned for dacussion.

Insurer cannot publish or place financial matters before the general meeting without first submitting the report to the Authority.

**Audited financial statements must be:**

- Published/broadcast through national-level media at least twice annually;
- Published on the insurer's website.

If no auditor is appointed even after the extension, the Authority may appoint one.

Audit remuneration and related expenses in such case are borne by the insurer.

Other audit-report and audit requirements shall be as prescribed.

## 88. AUTHORITY'S POWER REGARDING AUDIT



After receiving the auditor's report, the Authority may order the auditor to:

- Provide additional information; or
- Conduct additional inquiry/re-audit on specified matters.

All expenses of such additional audit shall be borne by the insurer.




## 89. RECOMMENDATION FOR ACTION AGAINST AUDITOR



If an auditor fails to perform duties under the Act, the Authority may recommend to the concerned regulatory body to:

- Remove the auditor from the list of eligible auditors; and
- Prevent the auditor from auditing insurers for 1 to 3 years.



# Chapter- 11 Provisions Related to Insurance Mediators or Other Insurance Service Provider

Section 90: Work should not be done without a license
Section 91: License to Insurance Mediators
Section 92: Qualifications of Insurance Mediators
Section 93: Responsibilities of Insurance Intermediaries
Section 94: Renewal of License of Insurance Intermediaries
Section 95: Cancellation of License
Section 96: Non-Renewal
Section 97: Prohibition to act

# SUMMARY: SECTIONS 90–92 — INSURANCE INTERMEDIARIES & SERVICE PROVIDERS

## 90. WORK NOT PERMITTED WITHOUT LICENCE



**NO LICENCE? STOP!**

**No person may work, or cause another person to work,** as an insurance intermediary or other insurance service provider without obtaining a licence under the Act.




## 91. LICENCE OF INSURANCE INTERMEDIARY




- **Any person/organization wishing to work** as an insurance intermediary or service provider must:
  - Apply to the Authority;
  - Submit prescribed documents; and
  - Pay the prescribed fee.
- Authority grants the licence in the prescribed format after examination.
- Licence validity: 3 years.

**Insurance Surveyor:**

- Licence generally permits surveying of **only one class** (portfolio) of non-life insurance.
- This restriction does **not apply** to a company established specifically for insurance surveying.
- Existing surveyors must choose **one specialized class** within **1 year** of commencement of the Act.

Single class

**Licence:**

- Cannot be used by another person;
- Cannot be transferred or assigned.

- An insurance agent can receive only one licence for the same type of insurer.
- Other licensing matters shall be as prescribed.

## 92. QUALIFICATION OF INSURANCE INTERMEDIARY/SERVICE PROVIDER




- Qualifications for insurance intermediaries and other service providers shall be as prescribed.
- An **insurance intermediary** must pass the prescribed **examination** before obtaining a licence.

**Insurance Broker or Third-Party Facilitator:**

- Must be an organized institution registered under prevailing law and must:
  - Have authorized capital as prescribed by the Authority;
  - Have a manager with at least 4 years' insurance experience; and
  - Fulfil other conditions specified by the Authority.

- Other qualification and related requirements shall be as prescribed.



# SUMMARY: SECTIONS 93–94 — INSURANCE INTERMEDIARIES & SERVICE PROVIDERS

## 93. DUTIES/LIABILITIES OF INSURANCE INTERMEDIARY

- Licence must be **clearly displayed at the office.**
- Agents/surveyors without an office must show their licence when requested.
- Must comply with the code of conduct issued by the Authority.

### INSURANCE SURVEYOR



- Cannot survey loss/damage where the surveyor or close/joint-family member has a financial interest.
- Must submit the survey report to the insurer within the prescribed period.
- Can engage only **licensed** insurance surveyors for survey work.

### INSURANCE AGENT



- Cannot simultaneously act as an agent for another insurer of the same type.
- May act for **both life and non-life insurers.**
- A micro-insurance agent may work for **more than one insurer.**

### INSURANCE BROKER/ THIRD-PARTY FACILITATOR



- **Cannot invest in, lend to, or provide guarantees/security** to an institution where its **director** has a **directorship or financial interest.**
  - Non-**connected companies.**

Work, remuneration/commission, conduct and other requirements shall be as **prescribed.**

## 94. RENEWAL OF LICENCE

APPLICATION FOR RENEWAL → AUTHORITY REVIEW → OUTCOME

Application for renewal must be **submitted before expiry,** along with prescribed fee and details.

If unable to apply on time for a valid reason, reason, the Authority may grant an **extension of up to 3 months.**

+3 MONTHS

- Licence is renewed for **3 years.** (3 YEARS)
- If the renewal application is received **within the original** or extended period and requirements are satisfied:

- If renewal is refused, the **Authority must provide written notice** with **reasons.**



Other renewal matters shall be as **prescribed.**

# Summary: Sections 95–97 — INSURANCE INTERMEDIARIES & SERVICE PROVIDERS

## SECTION 95 — CANCELLATION OF LICENCE

- Licence is automatically cancelled if renewal is not applied for within the period prescribed under Section 94.
- Licence may also be cancelled upon the intermediary/service provider's written request, following inquiry by the Authority.
- Authority may cancel the licence where:
  - The intermediary/service provider violates the Act, Rules, Regulations, guidelines, or Authority directives; or
  - It is proved to have acted against the interests of the insured.
- Before cancellation for misconduct/non-compliance, the Authority must provide a reasonable opportunity to submit a clarification.

## SECTION 96 — NON-RENEWAL OF LICENCE

- Licence shall not be renewed where:
  - The intermediary/service provider is found disqualified due to failure to comply with the duties under Section 93; or
  - It is proved that serious harm has been caused to the insured.

## SECTION 97 — PROHIBITION ON ACTING WITHOUT VALID LICENCE

- No person may act as an insurance agent or intermediary without a valid licence or with an expired/non-renewed licence.
- If an insurer appoints an intermediary who does not comply with this requirement, the insurer bears the responsibility.
- If an intermediary/service provider's licence is revoked during its validity period, liabilities arising from its insurance business activities are borne by the concerned insurer.
- An insurance agent/intermediary cannot simultaneously act as an insurer's:
  - Director
  - Chief Executive Officer
  - Employee
  - Advisor

# Chapter- 12 Regulation, Inspection and Supervision

Section 98: To Regulate, Inspect and Monitor
Section 99: Foreign Insurance Company shall inform to the Authority
Section 100: Regulation Fee

# SUMMARY: SECTIONS 98–100 — REGULATION, INSPECTION & MONITORING

## 98. REGULATION, INSPECTION AND MONITORING

**AUTHORITY MAY AT ANY TIME REGULATE, INSPECT, AND MONITOR:**

- Insurers
- Insurance intermediaries
- Other insurance service providers
- Persons/organizations connected with them

**WHERE THERE IS SUSPICION OR COMPLAINT, THE AUTHORITY MAY:**

- Conduct on-site inspections
- Summon accounts, financial statements, policies, reports and other documents
- Carry out other regulatory/ monitoring measures

**REGULATION AND SUPERVISION:**
Based on internationally recognized principles, standards, benchmarks and best practices.

**AUTHORIZED EXPERTS/ OFFICIALS MAY:**

- Demand records, statistics, information, reports and electronic records
- Examine, inspect and investigate documents
- Obtain originals/copies
- Make necessary inquiries

**WHERE ERRORS, WEAKNESSES, SUSPICIOUS ACTIVITIES, OR NON-COMPLIANCE ARE FOUND:**
Inspecting official may record the statement of the concerned officer.

**WHERE IMMEDIATE ACTION IS NECESSARY:**
Authorized official may, after informing the Authority, issue necessary directions/orders, which must be complied with.

**INSURERS, INTERMEDIARIES, SERVICE PROVIDERS, INSURED PERSONS & OTHER CONCERNED PERSONS MUST:**

- ☑ Provide requested information/ documents within the specified time
- ☑ Allow inspection
- ☑ Provide true and factual answers

**INSPECTION/MONITORING REPORTS:**
Must be submitted to the Authority within the prescribed period.

**GOVERNMENT BODIES, PROVINCIAL/LOCAL BODIES, OTHER REGULATORS & ORGANIZED INSTITUTIONS:**
Must cooperate with the Authority when requested.

**OTHER REGULATORY, INSPECTION AND MONITORING MATTERS:**
Shall be determined by the Authority.

## 99. FOREIGN INSURANCE COMPANY TO INFORM AUTHORITY

**INFORM THE AUTHORITY IN WRITING** before inspecting or monitoring its Nepal branch office.

**AFTER THE INSPECTION/ MONITORING:**

- Prepare a report;
- Submit a copy to the Authority.

## 100. REGULATORY FEE

**INSURERS:**
Must pay an annual regulatory fee of 0.75% of total premium earned for regulatory services.

**INSURANCE INTERMEDIARIES/ SERVICE PROVIDERS:**
Must pay the prescribed regulatory fee.

**THE PAYMENT PERIOD, PROCEDURE, LATE FEE AND OTHER MATTERS SHALL BE AS PRESCRIBED.**

# Chapter- 13 Problematic Insurer

Section 101: Insurer Deemed to be Problematic
Section 102: Measures For the Reformation of Problematic Insurer
Section 103: Special Administration/Management Team
Section 104: Functions, Duties and Powers of Special Administration Team
Section 105: Official to be Suspended
Section 106: Notice of the Work
Section 107: Preparation of New Financial Statements
Section 108: Provisions After the Achievement of Improvement in Condition of the Insurer
Section 109: Provisions to be made in Case improvement Not Achieved in the Condition of the Insurer
Section 110: Recommendation for Improving Financial Condition of the Insurer
Section 111: Other Provisions Regarding Special Management of The Insurer
Section 112: Final Report to be Submitted

# SUMMARY: SECTION 101 — CIRCUMSTANCES DEEMED AS A TROUBLED INSURER

## 101. DECLARATION OF TROUBLED INSURER

The Authority may declare an insurer a "troubled insurer" to protect the interests of insured persons where specified circumstances arise.

### KEY CIRCUMSTANCES INCLUDE:



Failure to maintain tha required minimum paid-up capital or capital fund



Failure to maintain the required solvency margin



Establishment through fraud, money laundering, corruption, terrorist financing, or human trafficking




Obtaining establishment/licence through forgery, cheating, false information, or incorrect documents



Repeated actions against the interests of insured persons, shareholders, creditors, or the general public



Failure to comply with an Authority's direction to merge with another insurer




Repeated violation of the Act, Rules, Regulations, licence conditions, directives, or orders



Insurance fraud committed by the insurer



Evidance from regulatory inspection, monitoring, audit, or actuarial reports indicating that the insurer cannot or may not be able to meet its liabilities




Disclosure of circumstances referred to in Section 105(3)



Serious disputes among directors that prevent the insufer from operating smoothly



Failure to provide evidence of improvement within the period specified by the Authority after full or partiai suspension of insurance business




Repeated failure to discharge liabilities

### PROCEDURE FOR DECLARATION



AUTHORITY GIVES 15 DAYS' NOTICE TO SUBMIT CLARIFICATION WITH SUPPORTING EVIDENCE

IF:



NO CLARIFICATION IS SUBMITTED WITHIN 15 DAYS;

OR



THE CLARIFICATION IS UNSATISFACTORY OR NOT CREDIBLE,




THE AUTHORITY SHALL DECLARE THE INSURER A TROUBLED INSURER.

PUBLICLY NOTIFIED THROUGH:




AT LEAST 2 NATIONAL DAILY NEWSPAPERS,



THE AUTHORITY'S WEBSITE.

### MANDATORY INSOLVENCY REPORTING




AN INSURER MUST IMMEDIATELY NOTIFY THE AUTHORITY WHERE:

1. IT HAS BECOME, OR IS LIKELY TO BECOME, INSOLVENT;




2. IT CANNOT MEET LIABILITIES PAYABLE TO INSURED PERSONS;



3. ITS NET WORTH HAS FALLEN TO 50% OR LESS OF ITS PAID-UP CAPITAL.



# SECTION 102 — MEASURES FOR IMPROVEMENT OF A TROUBLED INSURER

## 102. IMPROVEMENT MEASURES

**When an insurer is declared troubled under Section 101, the Authority may order corrective measures within a specified time, including:**



1. Increase capital, issue new shares, or require payment of outstanding share amounts.




2. Suspend dividend distribution for a specified period or replace dividends with bonus shares.



3. Limit remuneration, facilities and other payments to directors and the CEO.



4. Set a new limit on management expenses.




5. Require sale of insurer's property to meet liabilities.




6. Suspend branch expansion or require merger/closure of branches.



7. Require reduction of paid-up capital.




8. Suspend some or all classes of insurance business for a specified period.



9. Require reduction, reshuffling or reconstitution of directors, managers or employees.



10. Suspend shareholder rights, restrict share transfers, or require shares to be bought/sold as directed.




11. For a listed insurer, seek delisting from the securities market where necessary to protect the public interest.




12. Take any other appropriate action needed to restore the insurer's financial and managerial competence.

## AUTHORITY TO REMOVE MANAGEMENT

If the insurer fails to reduce directors, managers or employees within the prescribed period, **the Authority may remove them itself.**



## FURTHER ACTION IF IMPROVEMENT FAILS

**If the insurer does not improve within the period initially provided:**

- The Authority gives **30 days' notice** to submit a submit a clarification with evidence.



**If the clarification is satisfactory:**
The Authority may grant up to **6 additional months** for improvement.



**If the insurer still fails to improve:**

- The Authority shall constitute a **Special Management Group** under Section 103.



- The Authority shall **take control of the insurer's operation** and management, including by suspending the Board of Directors or through other appropriate means.



# SUMMARY: SECTIONS 103–104 – SPECIAL MANAGEMENT GROUP

## SECTION 103: SPECIAL MANAGEMENT GROUP (SMG)

### CONSTITUTION
Authority may constitute a 3-member Group to take over operations under Section 102(5) of troubled insurer.

### QUALIFICATIONS
Members must meet prescribed qualifications.

### TERM
1 year; may extend up to 1 additional year OR dissolve earlier.

### REMOVAL & REPLACEMENT
Authority may remove members for unsatisfactory performance. Qualified replacement appointed for remaining term.

### DETERMINATION BY AUTHORITY
Appointment, remuneration, facilities, and other matters.

## SECTION 104: FUNCTIONS, DUTIES & POWERS OF SMG

### ALL POWERS
Exercise all powers of General Meeting, Board, CEO, and officeholders.

### ASSET & LIABILITY MANAGEMENT
Manage, protect, transfer, sell or deal with assets, liabilities, shares, portfolios.

### KEY POWERS
- Transfer/assign shares & financial instruments.
- Control offices, records, accounts, property, info systems.
- Acquire/sell property & rights.
- Transfer liabilities & rights. cancel existing ones.
- Sell remaining shares, cancel existing ones.
- Issue new shares/capital instruments.
- Transfer insurance portfolios.
- Require documents, take measures to protect insureds.

**NO APPROVAL/NOTICE** generally required from founders, shareholders, insureds, etc. unless provided.

### OPERATIONAL MEASURES
- Continue, suspend, or stop insurance operations.
- Withhold/limit underwriting or liability payments.
- Appoint employees, officeholders, consultants.
- Call meetings of relevant stakeholders.
- Represent insurer in legal proceedings.
- Take other necessary measures.

### PROPOSE MERGER
Propose merger with another insurer to Authority.

### ASSET SALES
Auction, sealed tender, or negotiation (transparent, professional, minimum price fixed).

### SUBMIT PERIODIC REPORTS
Financial statements, asset-sale plans, liability projections/payment plans, asset transfer details.

### ENGAGE BODY/COMPANY
Engage another body for asset sale, consolidation, or liability assessment.

### EXPENSES
Borne by insurer, within limits determined by Authority.

# SECTIONS 105–108: SUMMARY OF SPECIAL MANAGEMENT GROUP OPERATIONS

## 105. SUSPENSION OF OFFICEHOLDERS



- Directors and CEO are automatically suspended.
- The Special Management Group may lift the suspension and assign prescribed work to directors or the CEO if considered appropriate.
- It may remove any person who fails to perform the work assigned to them.

## 106. NOTICE TO BE GIVEN






Within 3 days of taking control, the Special Management Group **must place a notice at every office of the insurer stating:**

- Date and time control was taken and operations commenced.
- Cancellation of the authority/responsibility of the previous principal management or authorized person.
- Manner, time and place for insureds to submit insurance claims.
- Manner, time and place for other parties to submit their claims.



### NOTICE PUBLICATION

- Once a week for 4 consecutive weeks
- In at least 2 national-level daily newspapers
- Also on the insurer's website.

**Written information must be submitted to:**

- Nepal Insurance Authority
- Securities Board of Nepal
- Office of the Company Registrar.

## 107. NEW FINANCIAL STATEMENTS



- The Special Management Group must prepare new financial statements showing the actual financial position of the insurer under control.
- The statements and detailed particulars must be submitted to the Authority.

## 108. ACTION AFTER IMPROVEMENT



When the insurer's condition improves, the Special Management Group may:

- Lift the suspension of the Board of Directors.
- Return management of the insurer to the existing Board.
- Constitute a new interim Board of Directors from among shareholders and require a general meeting within 6 months.
- Call a general meeting and constitute a new Board of Directors.



# OVERVIEW OF SPECIAL MANAGEMENT PROVISIONS (SECTIONS 109–112)

## 109. MEASURES WHERE CONDITION OF INSURER DOES NOT IMPROVE

If an insurer under special management does not improve, the Special Management Group (SMG) can take:

- Sell forfeited shares by auction
- Recommend further measures under Section 110
- Recommend merger with another insurer
- Recommend transfer of business & Cancellation of license
- Recommend initiation of insolvency proceedings

## 110. RECOMMENDATION FOR IMPROVING FINANCIAL CONDITION

If proceeding under 109(a)-(d) risks the insurance sector and the insurance sector:

1. Assess assets & liabilities
2. Prepare impact report & measures
3. Submit report to the Authority
4. Authority determines adverse effect & government investment potential
5. Recommends investment to Ministry
6. Ministry invests in shares
7. Ministry sells shares within 5 years after improvement

## 111. OTHER PROVISIONS RELATING TO SPECIAL MANAGEMENT

- No person may **obstruct or interfere** with the SMG
- SMG may seek **administration or police assistance**
- Security for taking control of:
  - Office
  - Property
  - Records
  - IT systems
- Aggrieved party may file **compensation petition** in High Court **within 60 days** (of report/ dissolution)
- High Court awards **compensation if SMG exceeded jurisdiction, settlement not completed, or action without sufficient basis**
- SMG must act **transparently & fairly,** protecting stakeholders
- **Immunity** for directors/officeholders following Authority/SMG decisions

## 112. FINAL REPORT

- SMG must submit a final report to the Insurance submit a final report to the Authority within **30 days** after work completion, term expiry, or dissolution
- Report must contain prescribed details of performed work

# Chapter- 14 Transfer of Insurance Business and Merger of Insurer

Section 113: Insurance Business May Be Transferred
Section 114: Insurer May Merge or be Amalgamated
Section 115: The Authority may give directions to merge or to be amalgamated
Section 116: Insurer Many Acquire Another Insurer

# CHAPTER 14 — SECTIONS 113–115: SUMMARY

## 113. POWER TO TRANSFER INSURANCE BUSINESS



An insurer may, with Authority approval, transfer all or part of its insurance portfolio to another insurer conducting the same type of insurance business.

### Steps

Both insurers must:

- Pass a special resolution through their respective general meetings.
- Enter into a mutual agreement.
- Submit a joint application with prescribed documents to the Authority.

### AUTHORITY APPROVAL PROCESS

The Authority may approve the transfer after necessary examination/inquiry.

Approval shall not be granted if the transfer is likely to:

- Harm or cause loss to insureds.
- Increase unhealthy competition.
- Create a monopoly or restrictive trade practice.

After transfer, the assets and liabilities relating to the transferred business vest in the receiving insurer.

## 114. MERGER OR AMALGAMATION OF INSURERS



Insurers conducting the same type of insurance business may merge or amalgamate with Authority approval.

### PROCESS FLOW

Both insurers must submit a joint application with prescribed documents.

The Authority may first grant in-principle approval.

After in-principle approval:

- Both insurers must appoint a qualified insurer auditor as valuer.
- The valuer assesses their assets, liabilities and business.
- Prescribed valuation details are submitted to the Authority.

After necessary inquiry, the Authority may grant final approval.

Merger/amalgamation shall not be approved if it is likely to:

- Harm insureds.
- Increase unhealthy competition.
- Create a monopoly or restrictive trade practice.

## 115. AUTHORITY MAY DIRECT MERGER OR AMALGAMATION



The Authority may direct an insurer to merge or amalgamate with another insurer, within a specified period:

### WHEN:

- Where the Special Management Group recommends the merger under Section 109(b); or
- Where a director or founder has a direct or indirect financial, business or personal interest in another insurer.

### REQUIRED ACTION:

- The insurer must submit a merger proposal within the period fixed by the Authority.
- After Authority approval, the merger/amalgamation shall be completed.

# 116. ACQUISITION OF ANOTHER INSURER

**AN INSURER MAY ACQUIRE ANOTHER INSURER CONDUCTING THE SAME TYPE OF INSURANCE BUSINESS.**

## PRELIMINARY STEPS

**1. BOTH INSURERS MUST:**



Pass special resolutions through their respective general meetings.



Submit a joint application for in-principle consent.



## AUTHORITY IN-PRINCIPLE CONSENT

**AUTHORITY MAY GRANT IN-PRINCIPLE CONSENT WHERE THE TARGET INSURER:**



Cannot meet its short-term or long-term liabilities.




Cannot maintain required paid-up capital or funds under Section 36 and this Act.




Has failed to issue shares to the general public within the prescribed period.

**ACQUISITION SHALL NOT BE APPROVED IF IT IS LIKELY TO:**



Harm insureds.




Increase unhealthy competition.



Create a monopoly or restrictive practice.



## POST-CONSENT VALUATION

**AFTER IN-PRINCIPLE CONSENT, A QUALIFIED VALUER MUST ASSESS:**



Financial condition, assets, liabilities and business of both insurers.



Impact of acquisition on the insurance system.



Acquirer's business plan.




Management of target insurer's employees.




Management of short- and long-term liabilities.



Other prescribed matters.

**THE VALUER SUBMITS THE REPORT TO THE AUTHORITY AND ACQUIRING INSURER.**



## FINAL APPROVAL AND POST-APPROVAL ACTIONS

**IF THE AUTHORITY CONSIDERS THE ACQUISITION APPROPRIATE, IT GRANTS FINAL APPROVAL.**

**AFTER APPROVAL:**



Both insurers enter into an agreement regarding assets and liabilities.



The acquiring insurer purchases the prescribed number of founder shares or other shares of the target insurer.



Other acquisition matters are as prescribed.

# Chapter- 15 Liquidation of Insurance Company

Section 117: Liquidation of Insurance Company
Section 118: Conditions Relating to Liquidation of Insurer
Section 119: Power of The Authority to Initiate the liquidation Process
Section 120: Appointment of a Liquidator
Section 121: Priorities on the Payment of Liabilities in Case of Liquidation of the Insurance company
Section 122: Insolvency of the Branch Office of Foreign Insurance Company Situated in Nepal

# SECTION 117: DISSOLUTION OF INSURER

GENERAL MEETING DECISION

SUBMIT APPLICATION TO AUTHORITY & VOLUNTARY DISSOLUTION WORK PLAN

AUTHORITY CONDUCTS NECESSARY INQUIRY

**APPROVAL GRANTED ONLY IF...**

- INSURER CAN FULLY DISCHARGE ALL LIABILITIES
- AUTHORITY MAY IMPOSE NECESSARY CONDITIONS

**AN INSURER CANNOT BE DISSOLVED WITHOUT PRIOR APPROVAL OF THE AUTHORITY.**

# SECTION 118: CONDITIONS RELATING TO DISSOLUTION

1. **DISSOLUTION PROCESS DEEMED TO HAVE COMMENCED**
   (from the date of Authority approval)

2. **WITHIN 35 DAYS OF APPROVAL:**
   - PUBLISH DISSOLUTION NOTICE AT LEAST TWICE in 2 National Daily Newspapers & on Authority's website
   - NOTIFY INSUREDS, CREDITORS, STAKEHOLDERS & OFFICE OF COMPANY REGISTRAR

3. **INSURER MUST DISCHARGE:**
   - AMOUNTS PAYABLE TO INSUREDS UNDER POLICIES
   - CREDITORS' LOAN AMOUNTS
   - OTHER OUTSTANDING LIABILITIES

   WITHIN THE PERIOD FIXED BY THE AUTHORITY.

4. **IF AMOUNT NOT YET MATURED:** → DEEMED TO HAVE AUTOMATICALLY MATURED ON THE LAST DAY OF THE PERIOD.

5. **IF PAYMENT NOT RECEIVED:** → DEPOSIT EQUAL AMOUNT IN SEPARATE BANK ACCOUNT (designated by Authority)
   Deposit must comply with Authority's conditions.

6. AFTER APPROVAL, INSURER CANNOT CREATE NEW LIABILITIES OR EXERCISE AUTHORITY EXCEPT FOR DISSOLUTION.

7. INSURER'S LICENCE IS AUTOMATICALLY CANCELLED
   Once Authority completes dissolution → THE AUTHORITY MAY ISSUE NECESSARY DIRECTIVES.

# SUMMARY: SECTIONS 119–120: INSOLVENCY PROCEEDINGS & LIQUIDATION

## 119. AUTHORITY MAY INITIATE INSOLVENCY PROCEEDINGS



Liabilities exceed assets for 3 consecutive financial years




A matured or immediately payable liability remains unpaid within the specified period



Insolvency proceedings have been recommended under Section 109(e)



The insurer, director or CEO has acted against the interests of insureds and repeatedly violated Authority directions for improvement



The insurer's capital fund remains negative for 3 consecutive years



The insurer's licence has been cancelled under Section 137



The insurer has applied for cancellation of its licence under Section 117

## 120. APPOINTMENT OF LIQUIDATOR



APPOINTMENT OF LIQUIDATOR

APPOINTMENT NOTICE MUST BE PUBLISHED:



At least twice in 2 national-level daily newspapers



On the Authority's website



ONCE THE LIQUIDATOR IS APPOINTED, THE INSURER'S ENTIRE INSURANCE BUSINESS IS AUTOMATICALLY SUSPENDED

# SUMMARY: SECTIONS 121-122

## SECTION 121. PRIORITY IN PAYMENT OF LIABILITIES ON DISSOLUTION/INSOLVENCY

1. Dissolution/insolvency expenses
2. Amounts payable to insured persons
3. Government taxes, duties and fees
4. Regulatory fees payable to the Authority
5. Commission/remuneration of insurance intermediaries
6. Amounts payable to other insurers
7. Employees' salary, allowances, provident fund, gratuity and other dues
8. Other liabilities of the insurer
9. Other amounts payable/dischargeable by the insurer
10. Amounts payable to shareholders

## SECTION 122. INSOLVENCY OF NEPAL BRANCH OF FOREIGN INSURER

### INSOLVENCY OF NEPAL BRANCH OF FOREIGN INSURER

Insolvency proceedings against the foreign insurer automatically stop insurance transactions of its Nepal branch.

The Nepal branch must provide the Authority with details of assets in Nepal and liabilities arising from its insurance business.

The Authority appoints a valuer to assess:

- Nepal-based assets
- Existing and future policy liabilities
- Amounts payable to the Government
- Other liabilities and property.

The Authority freezes the amount required to meet the branch's liabilities.

Liabilities are discharged from the frozen amount as prescribed.

Any remaining amount may be repatriated to the foreign insurer's home country under prevailing law.

### IF THE BRANCH CANNOT MEET ITS LIABILITIES:

1. Authority directs the branch to arrange funds
2. if unsuccessful, the Authority seeks assistance through the **Government of Nepal** from the foreign regulator
3. if still insufficient, the **Policyholders' Protection Fund** may be used
4. ultimately, the Authority may request the **Government of Nepal** to bear the remaining liability.

# Chapter- 16
# Insurance Claim

Section 123: Settlement of Insurance Claim
Section 124: Payment of Re-insurance Claim
Section 125: Settlement of Small Amount Claim
Section 126: Apparent loss or damage
Section 127: Person Entitled to Get Payment

# SUMMARY: SECTIONS 123–127 — INSURANCE CLAIMS

1



## 123. Settlement of Insurance Claims

- Insurer must settle a claim within the prescribed period after submission, after loss assessment where required.
- If the insured/heir cannot be located or payment cannot be made, the payable amount shall be deposited in the Unclaimed Fund.
- Insurer must retain evidence of efforts made to locate/contact the entitled person and make payment.
- Details of claims not settled within the prescribed period must be submitted to the Authority.
- During a disaster or crisis, the Authority may introduce a separate claim-settlement procedure for the affected area and specified period.
- Other matters relating to claims and the Unclaimed Fund shall be as prescribed.

2



## 124. Payment of Reinsurance Claims

- Reinsurer shall pay reinsurance claims according to the reinsurance contract between the insurer and reinsurer.
- Settlement procedures and other matters shall be as prescribed.

3



## 125. Settlement of Small Amount Claims

- Claims below the limit prescribed by the Authority shali be settied the procedure for small-amount claims.
- Other payment procedures shall be as prescribed.

4



## 126. Clear-Cut Loss

- Loss or damage of the type prescribed by the Authority shall be settled as a clear-cut loss.
- Other matters shall be as prescribed.

5




## 127. Person Entitled to Insurance Payment

- If the insured dies before payment under a life insurance policy, payment shall be made to the nominee.
- If there is no nominee, or the nominee died earlier, payment shall be made to the legal heir under prevailing law.
- Where a valid power of attorney has been granted over the policy, the attorney holder retains the right to receive the claim to the extent of the authority granted.



# Chapter- 17 Provision Relating to Complaint

Section 128: Complaint Relating to Payment of Claim
Section 129: Complaint Regarding Loss or Damage
Section 130: Insurance Mediation

# SECTIONS 128–130 — COMPLAINTS AND MEDIATION

## 128. Complaint Relating to Claim Payment




An insured to complain to the Authority:

- fails to pay a claim within the policy period;
- fails to determine liability; or
- determines liability adversely to the insured.

→ Authority gives the insurer **15 days** to respond.

After inquiry:

- facilitate conciliation;
- order reasonable compensation for loss caused by non-payment;
- order redetermination of liability;
  - issue other appropriate orders.
- order payment of the claim; or

If the claim is ordered to be paid, insurer must also pay:

- 10% interest from the date of complaint; and
- actual expenses incurred for obtaining legal remedy.

Appeal against the Authority's order may be filed before the concerned High Court within 35 days.

## 129. Complaint Relating to Loss or Damage



Insurer is liable to compensate an insured where an insurer, its director, officeholder, employee, insurance intermediary, or other insurance service provider causes loss/damage by acting against the insured's interests.

Insured may file a complaint with the Authority within the prescribed period.

Authority gives the concerned party **7 days** to respond.

→ possibe after inquiry:

- order reasonable compensation; or
- facilitate conciliation between the parties.

Appeal against a compensation order may be filed before the concerned High Court within 35 days.

## 130. Insurance Mediation



Applies to disputes:

- between insurers;
- between insurance intermediaries; or
- between insurers, intermediaries and other insurance parties.

Where mutual settlement fails, the Authority may mediate and resolve the dispute:

- at the request of any party; or
- on its own initiative.

Mediation shall follow the prescribed procedure.

# Chapter- 18 Operation and Management of Insurance in Province

Section 131: Operation and Management of Insurance in Province
Section 132: Details to be Provided
Section 133: Annual Report Submit

# ‘INFOGRAPHIC: SECTIONS 131–133 — INSURANCE MANAGEMENT IN PROVINCES’

## 131. CONDUCT AND MANAGEMENT OF INSURANCE IN PROVINCES

**Provinces may make laws and manage insurance matters relating to:**

- Expansion of insurance coverage
- Licensing and renewal of insurance agents
- Insurance-related training programmes
- Grievance handling on prescribed matters.

Provincial activities must follow **standards** set by the **Authority**.

Until a Province enacts the necessary law and starts exercising these functions, the **Authority** will perform them.




## 132. DETAILS TO BE MADE AVAILABLE

### Authority

The Authority shall provide Provinces with details of insurers and insurance intermediaries licensed under the Act.





### Insurer

Insurers shall provide the concerned Province with details of:

- Offices established in the Province; and
- Insurance intermediaries associated with the insurer.

## 133. REPORT TO BE SUBMITTED

Insurers operating under Section 131 must prepare an annual report on their activities in the concerned Province.




The report must be submitted to: the concerned Provincial body,

and a copy to the Authority.

#InsuranceLaw #ProvincialGovernance #InfographicDesign

# Chapter- 19 Actions, Offences and Punishment

Section 134: Power of The Authority
Section 135: Authority May Give Direction to Withold Payment of Insurance or Revoke the Insurance Policy
Section 136: Suspension of License or Ban of Insurance Business
Section 137: Revocation (Cancellation) of License of the Insurer
Section 138: power to Impose Fine
Section 139: Procedures of Taking Actions
Section 140: Offence
Section 141: Punishment
Section 142: Don't work in the Insurance Business
Section 143: Special Provision Related with The Insured
Section 144: Punishment for those who oppose obstacles
Section 145: Limitation for Complaint
Section 146: Government of Nepal to be Plaintiff
Section 147: Authority to Hear Case and Execution of The Decision
Section 148: Request for Details
Section 149: No Obstruction for Punishment



# Summary: Section 134 — Regulatory Action



The Authority may take regulatory action against an insurer and its directors, officeholders, CEO, employees, insurance intermediaries, or other insurance service providers.

## 1 Violations For Action:

- Violating the Act, Rules, Regulations, directives or orders;
- Submitting incorrect information or statistics.



## 2 Possible Actions Against Insurers/Entities:

- Written caution or warning
- Require an improvement commitment or order improvement within a specified period.
- Take control of the insurer's property or books/ledgers.
- Prohibit distribution/issuance of dividend, bonus shares or rights shares.
- Suspend directors, officeholders, CEO, employees or insurance intermediaries.
- Fully or partially suspend insurance business.
- Apply to the High Court for dissolution of the insurer.

## 3 Actions Against Responsible Persons:

- Freeze/forfeit shares and arrange their sale to another person or organization.
- Withhold or suspend remuneration, meeting allowances and other facilities.
- Remove the Chairperson, director, CEO or employee where their conduct is not in the interests of the insured, shareholders or insurer.
- Recover improperly received salary, allowances or other benefits with applicable interest.
- Recommend professional disciplinary action to the concerned professional body.



## 4 Consequences Of Removal:

- A person removed from office gets no compensation or facilities for the removal.
- Such person cannot be appointed by any insurer for 5 years from the date of removal.

## 5 Recovery Of Losses:

- Where an insurer incurs compensation due to the negligence or mala fide act of a director, officeholder, CEO or employee, the Authority may order personal recovery from that person.
- The amount must be paid within 35 days of receiving the order.
- If unpaid, it may be recovered as government dues from:
  - Bank/financial institution accounts; or
  - Movable or immovable property of the person or their joint-family member.
- **Publication Costs:**
  If the Authority publishes or broadcasts regulatory/inspection action against an insurer or intermediary, the concerned insurer bears the publication/broadcasting costs.

# Summary: Sections 135–137 — Suspension & Cancellation Powers

## 135. Suspension/Cancellation of Insurance Payment

- The Authority may direct that:
  - a policy not be issued;
  - payment under a policy be withheld; or
  - a policy be cancelled.
- Applicable where necessary to:
  - protect insurance business or insured interests;
  - assist investigation of an offence; or
  - combat money laundering, terrorist financing, fraud, corruption, human trafficking or organized crime.

## 136. Suspension of Licence or Insurance Business

- Authority may suspend an insurer's licence or fully/partially suspend its business where the insurer:
  - fails to maintain minimum paid-up capital under Section 36;
  - fails to implement decisions relating to claims, loss or damage under Sections 128/129;
  - continuing business would seriously harm insured persons;
  - stops insurance business without Authority approval;
  - violates other prohibitions under the Act, Rules, Regulations or prevailing law; or
  - repeatedly violates Authority directions/orders.
- Before suspension, the insurer must be given a reasonable opportunity to submit clarification.
- Suspension may be lifted if the clarification is satisfactory.
- Suspension of insurance business must be publicly announced through at least 2 national daily newspapers and the Authority's website.

## 137. Cancellation of Insurer's Licence

- Authority may cancel the licence where:
  - suspension/restriction under Section 136 remains for 1 year;
  - (a) continued business would seriously harm insured persons;
  - (c) a court commences insolvency proceedings; or
  - (d) an approved dissolution process is completed.
- Except for insolvency and completed dissolution, the insurer must receive:
  - reasonable time to rectify the situation; and
  - an opportunity to submit clarification.
- Where the insurer commits to improve a deficiency under grounds (a) or (b), the Authority may grant one additional reasonable opportunity to rectify it.
- Liabilities incurred before licence cancellation shall be settled as prescribed.
- Cancellation must be publicly announced through at least 2 national daily newspapers and the Authority's website.

# SUMMARY: SECTIONS 138–139 — FINES AND PROCEEDINGS

## 138. POWER TO IMPOSE FINE

The Authority may impose fines for non-compliance, delays, violations, false information, and failure to follow regulatory requirements.

### 1. FAILURE TO SUBMIT INFORMATION/DOCUMENTS

**INSURER:**

Up to 1 week: **Rs. 25,000/day**
Up to 2 weeks: **Rs. 50,000/day**
Thereafter: **Rs. 100,000/day**

**INSURANCE INTERMEDIARY/ SERVICE PROVIDER:**

Up to 1 week: **Rs. 2,000/day**
Up to 2 weeks: **Rs. 5,000/day**
Thereafter: **Rs. 10,000/day**

### 2. DELAY IN LOSS ASSESSMENT BY INSURER

Up to 1 week: **Rs. 5,000/day**
Up to 2 weeks: **Rs. 10,000/day**
Thereafter: **Rs. 25,000/day**

### 3. IMPROPER/DELAYED CLAIM SETTLEMENT

Failure to determine or settle liability within the prescribed period, or adverse determination of liability: **Rs. 200,000–2,000,000**, depending on seriousness.

### 4. OTHER VIOLATIONS BY INSURER

Occasific for occasions:
1st: **Rs. 200,000**
2nd: **Rs. 2,500,000**
3rd/sub-sequent: **Rs. 5,000,000 per occasion**

### 5. FAILURE TO SUBMIT COMPLIANCE REPORT

**Rs. 100,000–300,000**

### 6. VIOLATIONS BY INSURANCE INTERMEDIARY

Fines for occasions:
1st: **Rs. 5,000**
2nd: **Rs. 25,000**
3rd/subsequent: **Rs. 50,000 per occasion**

### 7. DELAY IN AUDIT

Up to 1 week: **Rs. 50,000**
1 week to 1 month: **Rs. 100,000**
1 to 3 months: **Rs. 500,000**
>3 months: **Rs. 1,000,000**

### 8. FAILURE TO RESPOND TO COMPLAINTS

**INSURER:** **Rs. 100,000**

**DIRECTOR/ OFFICEHOLDER/EMPLOYEE/ INTERMEDIARY/SERVICE PROVIDER:** **Rs. 5,000**

### 9. DELAY BY INSURANCE SURVEYOR IN LOSS ASSESSMENT REPORT

Up to 1 week: **Rs. 2,000**
Up to 2 weeks: **Rs. 5,000**
Up to 1 month: **Rs. 10,000**
>1 month: **Rs. 25,000**

### 10. INCORRECT LOSS ASSESSMENT BY SURVEYOR

**First occasion:** Caution or **Rs. 50,000** fine, or both

**Repeated violation:** Licence cancellation, **Rs. 100,000** fine, Recovery of the loss caused to the insured and payment to the insured.

### 11. CONCEALED/FRAUDULENTLY HELD PROPERTY

Where property is concealed in one's own, family member's, relative's or another person's name, the Authority may request the concerned body to confiscate the property and its accrued/increased value.

### 12. APPEAL

A person dissatisfied with a penalty may appeal to the concerned High Court within **35 days**.

## 139. PROCEDURE FOR PROCEEDINGS

Before taking regulatory action under Section 134 or imposing a fine under Section 138, the Authority must issue a written notice.

The concerned party gets 7 days to submit a written clarification.

If the clarification is satisfactory, the Authority may amend or revoke the proposed action or fine.

Other procedures for regulatory action and penalties shall be determined by the Authority.

# SECTION 140 — OFFENCES & SECTION 141 — PUNISHMENT

| Offence Sub-section | Section No. | Description of Offence | Monetary Punishment | Imprisonment | Both |
|---|---|---|---|---|---|
| 140(1)(a) | 24 | Conducting insurance business without a licence | Fine: 3 × amount involved; amount involved confiscated | 5–10 years | ✓ |
| 140(1)(b) | 90 | Working as an insurance intermediary or other insurance service provider without a licence | Fine equal to amount involved; amount involved confiscated | Up to 3 years | OR |
| 140(1)(c) | — | Insurer fraudulently/deceitfully paying an insurance claim, including through false particulars/documents | Fine equal to amount involved; amount involved confiscated | Up to 3 years | OR |
| 140(1)(d) | — | Insured fraudulently/deceitfully obtaining an insurance claim, including through false particulars/documents | Fine equal to amount involved; amount involved confiscated | Up to 3 years | OR |
| 140(1)(e) | — | Insurance surveyor making excessive, insufficient or incorrect loss valuation with self-interest/malafide intent | Amount involved confiscated | Up to 1 year (≤ Rs. 1m); up to 2 years (> Rs. 1m–5m); up to 3 years (> Rs. 5m–10m); 3–5 years (> Rs. 10m) | ✓ |
| 140(1)(f) | — | Insurance agent misappropriating premium by failing to remit it to insurer | Amount involved confiscated | Up to 1 year (≤ Rs. 1m); up to 2 years (> Rs. 1m–5m); up to 3 years (> Rs. 5m–10m); 3–5 years (> Rs. 10m) | ✓ |
| 140(1)(g) | — | Employee/officeholder/other person committing irregularity or financial misappropriation in insurance business | Amount involved confiscated | Up to 1 year (≤ Rs. 1m); up to 2 years (> Rs. 1m–5m); up to 3 years (> Rs. 5m–10m); 3–5 years (> Rs. 10m) | ✓ |
| 140(1)(h) | — | Irregularity in merger, amalgamation, acquisition, dissolution or audit of an insurer | Amount involved confiscated | Up to 1 year (≤ Rs. 1m); up to 2 years (> Rs. 1m–5m); up to 3 years (> Rs. 5m–10m); 3–5 years (> Rs. 10m) | ✓ |
| 140(1)(i) | — | Attempting or assisting in offences under clauses (a)–(h) | Half of applicable monetary punishment, where applicable | Half of punishment applicable to principal offender | Half of applicable punishment |
| 140(2) | — | Unauthorized transfer/assistance in transfer of a foreign insurer's Nepal branch property to another country | Fine equal to amount involved | Up to 5 years | ✓ |

## SPECIAL RULE UNDER SECTION 141

| Provision | Rule |
|---|---|
| 141(6) | The amount involved is determined by calculating the total amount of the relevant transaction. |
| 141(7) | Where the amount involved cannot be determined, considering the extent of the offence: fine up to Rs. 1 million + imprisonment up to 2 years. |
| 141(8) | Where an offence is committed by an organized institution, the concerned director, CEO, officeholder, or employee who committed the offence shall be punished. |

# INSURANCE ACT, SECTIONS 142–149: KEY PROVISIONS

## 142 PROHIBITION ON CARRYING OUT INSURANCE-RELATED WORK

- A person whose licence is suspended or against whom a Section 140 offence case has been filed cannot perform insurance-related work.
- Applies to directors, officeholders, CEO, consultants, employees, insurance agents and insurance intermediaries.
- Prohibition continues until the licence suspension is lifted or the case is finally concluded.

## 143 SPECIAL PROVISIONS RELATING TO THE INSURED

- Authority may investigate or inquire into an insured involved in:
  - Insurance fraud or deceit;
  - False, incomplete, or unnecessary particulars;
  - Concealment of material facts;
  - Suspicious insurance claims; or
  - Attempts to influence an insurer, intermediary, or service provider.
- Insured must cooperate with the investigation/inquiry.
- If found guilty, the matter is referred to the competent authority under prevailing law.
- A person who fails to cooperate or commits insurance fraud/deceit may be blacklisted and prohibited from obtaining insurance for 5 years, upon communication from the competent authority.

## 144 PUNISHMENT FOR OBSTRUCTION

Obstructing an investigation or inquiry is punishable by:

- Imprisonment up to 6 months; or
- Fine up to Rs. 100,000; or
- Both.

## 145 LIMITATION FOR FILING COMPLAINT

- Complaint may be filed within 6 months from the date the offence becomes known or is confirmed.
- Case must be filed in court within 3 months from the date of fiiing the complaint.

## 146 GOVERNMENT OF NEPAL TO BE PLAINTIFF

- Government of Nepal shall be the plaintiff in cases relating to offences under Section 140.
- Such offences are included in Schedule-1 of the National Criminal Procedure (Code) Act, 2074.
- Authority shall assist in investigation, inquiry, and prosecution.

## 147 OFFICER HEARING THE CASE AND EXECUTION OF DECISION

- Section 140 offences: Heard and decided by the court designated by Government of Nepal through the Nepal Gazette.
- Other prohibited acts under the Act may be investigated and punished by the Authority.
- Authority has powers equivalent to those of a District Court for such proceedings.
- Appeals or petitions to the High Court are heard by the Commercial Bench.

## 148 POWER TO DEMAND DETAILS

- Authority or investigating body may demand documents, account details, records, and other information necessary for investigation or inquiry.
- Persons and organizations holding such information must provide the documents and cooperate.

## 149 RETIREMENT NOT A BAR TO PUNISHMENT

- Retirement or leaving office does not prevent investigation, inquiry, or punishment.
- Applies where a person committed an offence under Section 138 while holding office in an insurer.

# Chapter- 20 Miscellaneous

Section 150: Insured Insurance Protections Fund
Section 151: Insurance Development Fund
Section 152: Complaint Hearing
Section 153: Not to Make Insurance Transactions with Anyone Except Insurer
Section 154: Formation of Expert Groups
Section 155: Insurance Information Centre
Section 156: Establishment of Insurance Institutions
Section 157: Collection of Statistics
Section 158: Not being held accountable for actions done with good intentions
Section 159: Submission of Report to Government of Nepal
Section 160: Delegation of Authority
Section 161: Contact with the Government of Nepal
Section 162: Coordinate with Public Bodies
Section 163: International Aid and Relation
Section 164: The Government of Nepal may Issue Directives
Section 165: Provide Expert Services
Section 166: Issue Orders and Directives
Section 167: Pursuant to this Act
Section 168: Power to Frame Rules
Section169: Enact and Enforce Regulations
Section 170: Implementing Guidelines and Procedures
Section 171: Act Implementation Measurement
Section 172: Repeal and Saving

# INFOGRAPHIC: SECTIONS 150–153

## 150. Policyholders' Protection Fund

- Established under the Authority.
- Receives:
  - Amounts allocated by the Authority;
  - Amounts received from life insurers as determined by the Authority;
  - Amounts deposited in the Unclaimed Fund under Section 123 where payment of a l
    a liability under a life insurance policy could not be made.
- Operation and management of the Fund shall be as prescribed.

## 151. Insurance Development Fund

- Established at the Authority to:
  - Expand insurance coverage among economically disadvantaged citizens; and
  - Protect citizens through insurance.
- Sources of the Fund include:
  - Amounts received from the Government of Nepal;
  - 50% of micro-insurance regulatory fees received under Section 79;
  - At least 33% of regulatory fees received under Section 100; and
  - Amounts received from other sources.
- The amounts under Section 151(2)(b) must be transferred to the Fund annually.
- Fund utilization and its operation/management shall be as prescribed.

## 152. Grievance Hearing

- Complaints relating to acts or actions of:
  - Insurers;
  - Insured persons;
  - Insurance intermediaries;
  - Directors, officeholders or employees; or
  - Other stakeholders under the Act

  may be filed with the Authority.
- Other matters relating to grievance handling and the officer responsible for hearing grievances shall be as prescribed.

## 153. Prohibition on Insurance Transactions with Unlicensed Persons

- No person or organization may transact insurance business with anyone other than an insurer licensed under this Act.
- Insurance of:
  - Property located in Nepal, and
  - Liabilities arising within Nepal

  must be effected only with an insurer licensed under the Act.

# SECTIONS 154–158 OF THE INSURANCE ACT

## 154. Power to Constitute an Expert Group




Authority may constitute an expert group to:

- Study, investigate, or inquire into insurance-related fraud, deceit, or cheating;
- Examine fraud that has occurred or is likely to occur;
- Recommend actions, improvements, or policy measures.
- Other matters relating to the expert group shall be as prescribed.

## 155. Insurance Information Centre



Authority may establish an Insurance Information Centre.

The Centre shall:

- Collect insurance-sector information;
- Integrate and organize such information.
- The Authority shall regulate the Centre.
- Other matters shall be as prescribed.

## 156. Power to Establish an Insurance Institute



Authority may establish an Insurance Institute to:

- Develop skilled manpower in the insurance sector;
- Promote insurance education;
- Conduct training;
- Conduct insurance-related study and research.
- Other matters shall be as prescribed.

## 157. Power to Collect Statistics



Authority may collect statistics necessary to achieve its objectives and perform its functions:

- Directly;
- From Government of Nepal; or
- From other bodies.

Authority may obtain assistance from authorized persons, associations, organizations, and international organizations within or outside Nepal.

Authority shall publish insurance-sector activities, statistics, and other prescribed details every month for public information information.

## 158. Not to be Liable for Acts Done in Good Faith



Members and employees of the Authority are not personally or collectively liable for acts done in good faith under the Act, Rules, Regulations, or guidelines.

**Exception:** Personal liability applies where an act is done knowingly or with wrongful intent.

Where a case is filed against a member or employee for loss/damage arising from an act done or attempted in good faith:

- The Authority bears the legal expenses.
- The Authority will not bear expenses relating to acts done knowingly or with wrongful intent.

# GOVERNMENT & REGULATORY RELATIONS OF THE NEPAL INSURANCE AUTHORITY

## 159. REPORT TO BE SUBMITTED TO THE GOVERNMENT OF NEPAL

Authority shall submit a report within 4 months from the end of each fiscal year.

**REPORT SHALL INCLUDE:**

- Authority's work and achievements during previous fiscal year.
- Overall status of insurance business in Nepal.
- Achievements under the annual insurance policy.
- Measures required for improvement of the insurance sector.

Government of Nepal shall make the report public.

## 160. DELEGATION OF AUTHORITY

Authority may delegate powers under the Act or Rules to:

- Chairperson,
- Members, or
- Committees/sub-committees constituted by the Board.

### THE FOLLOWING POWERS CANNOT BE DELEGATED:

- ✕ Prior approval to establish an insurance company.
- ✕ Granting licence to an insurer.
- ✕ Suspending insurance business.
- ✕ Cancelling an insurer's licence.
- ✕ Constituting a Special Management Group under Section 103.
- ✕ Issuing Regulations or guidelines.

Chairperson may delegate his/her powers to officer-level employees for smooth functioning of the Authority.

## 161. CONTACT WITH THE GOVERNMENT OF NEPAL

The Authority shall maintain contact with the Government of Nepal through the Ministry.

AUTHORITY ⇄ GOVERNMENT

## 162. COORDINATION WITH PUBLIC BODIES

Authority may coordinate and cooperate with:

- Constitutional bodies and government organs.
- Regulatory bodies.
- Banks and financial institutions.
- Organized institutions.
- Other public bodies.

It may also exchange assistance and information with such bodies for carrying out its functions.

## 163. INTERNATIONAL COOPERATION AND RELATIONS

Authority shall represent Nepal in international associations and organizations on matters relating to:

- Insurance policy.
- Insurance supervision and regulation.
- Underwriting and claims.
- Reinsurance.
- Monitoring and other matters within its jurisdiction.

May provide or receive insurance supervision and regulatory services from foreign governments, foreign regulators, and international organizations.

Shall promote cooperation with international organizations working for financial and economic stability through insurance regulation.

When representing Nepal internationally, the Authority shall undertake and complete responsibilities assigned on behalf of Nepal.

## 164. GOVERNMENT OF NEPAL MAY GIVE DIRECTIONS

Government of Nepal may give necessary directions to the Authority for:

- Promotion of insurance business.
- Improvement of the insurance sector.

The Authority must comply with such directions.

# SECTIONS 165 TO 172 OF THE INSURANCE ACT – KEY PROVISIONS AT A GLANCE

## 165 SERVICES OF EXPERT TO BE MADE AVAILABLE

Where requested by the Government of Nepal, the Authority shall make available the services of its own experts.

## 166 POWER TO ISSUE ORDERS AND DIRECTIONS

The Authority may issue orders, directions and guidance to an insurer, insured, insurance intermediary, or other insurance service provider in order to achieve the objectives under this Act.

## 167 TO BE GOVERNED BY THIS ACT

1. Matters provided for in this Act shall be governed by this Act, and other matters shall be governed by prevailing law.
2. Notwithstanding anything contained in (1), matters relating to prevention of money laundering or financing of terrorist activities shall be governed by that Act.

## 168 POWER TO FRAME RULES

1. The Government of Nepal may frame necessary Rules to implement this Act.
2. Such Rules may make provision on the following matters:-
   a. Functions, duties and powers of the Chairperson
   b. Whistle-blowing policy
   c. Collective insurance fund (insurance pool)
   d. Micro-insurance

## 169 POWER TO FRAME AND IMPLEMENT REGULATIONS

The Authority may frame and implement Regulations, subject to this Act and the Rules framed under this Act.

## 170 POWER TO FRAME AND IMPLEMENT GUIDELINES AND PROCEDURES

The Authority may frame and implement guidelines and procedures necessary to conduct its work, subject to this Act and the Rules framed under this Act.

## 171 MEASUREMENT OF IMPLEMENTATION OF THE ACT

Within one year of completion of five years from the commencement of this Act,

↓

5 YEARS and thereafter within one year after every five years,

↓

the Ministry shall measure the implementation of the Act and submit a report thereon to the concerned committee of both Houses of the Federal Parliament.

## 172 REPEAL AND SAVING

The following Acts are repealed:-

- Insurance Act, 2049
- National Insurance Corporation Act, 2025

### (2) IN RESPECT OF THE INSURANCE BOARD REPEALED BY CLAUSE (a) ABOVE:

a. The Insurance Board shall, after the commencement of this Act, be automatically converted into the Authority.

b. The Rules, Regulations, directions, licences issued, orders given, or acts done or performed by the Insurance Board shall be deemed to have been done or performed by the Authority.

c. The movable and immovable property or liabilities of the Insurance Board shall automatically be converted into the movable and immovable property or liabilities of the Authority.

d. The Chairperson and members of the Insurance Board shall, after the commencement of this Act, automatically become the Chairperson and members of the Authority, and may remain in such office until completion of their term.

e. Employees working in the Insurance Board shall, after the commencement of this Act, automatically be converted into employees of the Authority.

f. Cases pending before the Insurance Board shall automatically be transferred to the Authority, and shall be proceeded with and concluded under this Act.

### (3) IN RESPECT OF THE NATIONAL INSURANCE CORPORATION REPEALED BY CLAUSE (b) ABOVE:

a. The National Insurance Corporation so constituted shall, within one year, be converted into a public limited company.

b. Employees working in the National Insurance Corporation shall automatically be converted into employees of the company under clause (a).

c. The movable and immovable property and liabilities existing in the National Insurance Corporation shall automatically be converted into the movable and immovable property and liabilities of the company under clause (a).

d. Policies issued by the National Insurance Corporation shall be deemed to be policies issued by the company under clause (a).

**Note:** Other matters relating to these provisions (where stated) shall be as prescribed under the Act, Rules, Regulations or Guidelines.

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